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Sailpoint Technologies Holdings , Inc.

AI Agent Opportunity Emerging; Initiate at Outperform

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INITIATION OF COVERAGE

October 7, 2026

ANALYTICS, DATA, SECURITY, AND INFRASTRUCTURE SOFTWARE

Stock Rating:

OUTPERFORM

12-18 mo. Price Target	$30.00
SAIL - NASDAQ	$20.29
3-5 Yr. EPS Gr. Rate	30%
52-Wk Range	$24.00-$10.30
Shares Outstanding	569.3M
Float	71.4M
Market Capitalization	$11,583.8M
Avg. Daily Trading Volume	4,239,278
Dividend/Div Yield	NA/NM
Book Value	$12.05
Fiscal Year Ends	Jan
2027E ROE	NA
LT Debt	$0.0M
Preferred	$0.0M
Common Equity	$6,862M
Convertible Available	Yes

EPS Diluted	Q1	Q2	Q3	Q4	Year	Mult.
2026A	0.01	0.07	0.08	0.08	0.24	84.5x
2027E	0.05A	0.09A	0.08	0.11	0.32	63.4x
2028E	0.07	0.10	0.10	0.14	0.41	49.5x

Revenue ($/mil)	Q1	Q2	Q3	Q4	Year	Mult.
2026A	230.5	264.4	281.9	294.6	1.1B	10.8x
2027E	280.1A	308.8A	328.7	356.8	1.3B	9.1x
2028E	340.1	373.6	399.4	432.0	1.5B	7.5x

SailPoint Technologies, Inc.

AI Agent Opportunity Emerging; Initiate at Outperform

SUMMARY

We're initiating on SailPoint Technologies with an Outperform rating and a $30 price target. SailPoint is a leader in identity governance security across human, machine, and AI agent identities. Our analysis suggests: (1) SailPoint offers differentiated technology and is well-positioned to fulfill a critical role in AI agent identity security; (2) AI security adoption offers meaningful upside versus management's FY29 ARR target and is mismodeled by consensus; and (3) strong management execution could drive share appreciation despite the Thoma Bravo ownership (~85%) overhang. If SailPoint's valuation discount vs. peers persists, a strategic buyer may also emerge. Over a 12-18-month horizon, we anticipate AI security proof points to emerge and positive revenue/ARR revisions and multiple expansion toward the 11x multiple embedded in our price target.

KEY POINTS

- **Identity for the AI era.** SailPoint's core governance strengths in identity lifecycle management, access certification, policy modeling, and accountability map well to AI agents. Its AI security solutions already extend the platform to discover and govern machine/AI agent credentials. While real-time agentic protection is still emerging, SailPoint's installed base, connector library, and established customer relationships position it to benefit as AI agent identity security scales.
- **AI-driven ARR upside.** We believe management's $2.1B FY29 ARR target is achievable by its existing portfolio alone, with potential for upside as AI security scales. Our proprietary analysis yields $2.14B in ARR, a 23.8% three-year CAGR, ~$75M above consensus and ~$36M above management's target with only ~10% installed-base adoption. We believe consensus models little/no AI contribution, while customer adoption could surpass our ~10% assumption.
- **Thoma Bravo overhang.** We believe Thoma Bravo's ~85% stake is weighing on valuation. This is a sentiment issue rather than a fundamental one. In our opinion, SailPoint is among Thoma Bravo's better investments. Consequently, monetization may take longer as the sponsor seeks to exit on favorable terms, i.e., when strong execution could offset liquidity concerns. If valuation discount persists, strategic buyers may emerge.
- **SaaS transition.** SailPoint's on-premises customer base represents ~$1 billion of incremental ARR opportunity, with migrations driving a 2-3x ARR uplift and creating a natural path to AI security cross-sell. While the mix shift could pressure near-term reported revenue/FCF, it strengthens recurring revenue growth and long-term margins, and Flex and Agentic Acceleration procurement options will reduce cost and implementation friction.
- **Valuation.** Peers trade at an average 14.4x CY27E EV/S (5.6-37.7x range), versus SailPoint at ~7.3x. We believe a higher valuation is warranted given expectations for sustained 20%+ growth over a multi-year horizon, while peer average growth moderates to ~14% by CY27E. Applying an ~11x CY27E revenue multiple, near the midpoint of the peer range, reflects SailPoint's sustained growth profile, supporting our $30 price target.

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For analyst certification and important disclosures, see the Disclosure Appendix.

Stock Price Performance



INVESTMENT THESIS

We are bullish on SailPoint's position as a leading enterprise identity security vendor. Its entrenched customer base, deep governance capabilities, and expanding Human Fabric and Agentic Fabric portfolio position it to secure human, machine, and AI agent identities as enterprise environments grow more complex. We expect SaaS migrations, suite upgrades, and AI security cross-sell to support durable ARR growth, positive estimate revisions, and valuation expansion.

BASE CASE ASSUMPTION

- ARR reaching approximately $2.13 billion by FY29, representing a roughly 24% three-year CAGR.
- Steady core execution, continued SaaS migration, and moderate adoption of Agentic Business and Agentic Fabric.
- Net retention remains stable in the 111%-113% range through FY29.

CATALYSTS

- Quarterly earnings
- New Product & Partnership Announcements

UPSIDE SCENARIO

- ARR reaching approximately $2.22 billion by FY29, representing a roughly 26% three-year CAGR.
- Strong adoption of Agentic Business and Agentic Fabric, faster SaaS migrations, and sustained expansion within the installed base.
- Net retention sustains 113%+ as AI security cross-sell and suite upgrades increase existing customer spend.

DOWNSIDE SCENARIO

- ARR reaching approximately $2.09 billion by FY29, representing a roughly 23% three-year CAGR.
- Slower AI security adoption, softer customer expansion, and a more gradual pace of SaaS migration.
- Net retention declines below 111%.

PRICE TARGET CALCULATION

Our $30 PT assumes a CY2027E EV/sales multiple of 11x, at the higher end (above midpoint) of the range of SailPoint's peer group (6x-37x). We believe this reflects SailPoint's premium ARR growth profile, improving FCF generation, and established mindshare with enterprise customers.

KEY RISKS TO PRICE TARGET

Key risks include intensifying competition from scaled platforms such as Microsoft, Okta, and Palo Alto Networks, which could pressure pricing or favor suite consolidation over best-of-breed IGA. Slower than expected enterprise adoption of AI agent governance. SailPoint fails to close remaining gaps in real-time AI agent protection capabilities. Complex IdentityIQ migrations delay SaaS conversion and ARR uplift, while the mix shift creates greater than expected revenue and FCF volatility. Thoma Bravo's ownership overhang, macroeconomic weakness, and continued reliance on non-GAAP profitability. SAIL has a relatively thin public float, which may contribute to lower trading liquidity and share price volatility.

COMPANY DESCRIPTION

SailPoint is a cybersecurity company that specializes in identity security. It pioneered the Identity Governance & Administration (IGA) category. The company has a history of successfully acquiring and integrating new innovations, recently re-tooling its platform to address new AI identity security opportunities.

Investment Summary

We are initiating coverage of SailPoint, Inc. (SAIL) with an Outperform rating and $30 price target. SailPoint is a leading enterprise identity security provider built on Atlas, the company's cloud-native platform that applies a common identity graph and policy engine across human, machine, and AI agent identities. SailPoint's portfolio is organized around Human Fabric, which governs employees, contractors, and partners, and Agentic Fabric, a standalone offering for machine identities and AI agents. Its legacy IdentityIQ product is also available for customers requiring on-premises deployment. SailPoint combines a large enterprise installed base, established Chief Information and Security Officer (CISO) relationships, and a growing portfolio of identity governance and security capabilities at a time when the number and complexity of human and machine/AI identities are increasing.

Our bullish view on SailPoint is framed by three debates. First, can SailPoint play a leading role in agentic AI identity security? We believe it can, capitalizing on its established discovery and governance functionality and emerging protection layer capabilities. Second, can ARR growth reaccelerate above management's FY29 target? We believe it can. We forecast a 23.8% three-year ARR CAGR to approximately $2.14 billion, above management's $2.1 billion target and 23.1% implied CAGR. We expect durable core execution, supplemented by Human Fabric and Agentic Fabric adoption. Our view reflects a base case with upside potential. Third, can the stock appreciate despite Thoma Bravo's ~85% ownership? We believe this ownership overhang is primarily a liquidity and sentiment issue, rather than a fundamental impairment. While future sponsor sales could create temporary periods of volatility, we believe investors will appreciate SailPoint's differentiation and longer-term potential. If investors don't, strategic buyers likely would, making SailPoint a potential acquisition target.

Debate 1 – Can SailPoint play a leading role in Agentic AI Identity Security? We believe SailPoint's core identity governance and administration (IGA) capabilities map well to the challenges created by AI agents, addressing lifecycle management, access certification, policy modeling, owner assignment, and accountability. SailPoint's Agentic Fabric extends these controls to agent discovery and governance, while the company's recent Entro acquisition adds non-human identity, secrets, and credential-layer capabilities. We believe any AI security solution needs to address three core competencies: discovery, governance, and protection. SailPoint's discovery and governance capabilities are well-developed, while its protection capabilities, including real-time authorization and SOC-integrated response, are in early development. We expect the protection layer to follow a partner model, with SailPoint providing identity context, policy, and authorization, while security partners provide runtime telemetry and enforcement. We believe this approach can work well as most competing point solutions address only discovery or narrow non-human identity use cases; whereas SailPoint brings a deep connector library, mature policy modeling, large regulated-industry reference customers, and established buyer relationships that are difficult to replicate. Its strong discovery and governance foundation supports our view that SailPoint will become a leading AI security provider as enterprise AI agent adoption proliferates.

Debate 2 – Can ARR Growth Accelerate and Achieve FY29 targets? Based on our proprietary ARR scenario analysis, we believe consensus estimates embed little to no contribution from AI security. Our analysis suggests management's $2.1 billion FY29 target is achievable with only modest Agentic Fabric adoption. Our core human-fabric based assumptions alone produce results near consensus, indicating current estimates largely reflect normal customer expansion and migration trends, rather than meaningful AI security adoption. Assuming just 10% installed-base adoption of new AI identity security products by FY29 contributes an estimated ~$90 million of incremental ARR and lifts our total ARR estimate to approximately $2.14 billion, ~$75 million above consensus and ~70 basis points above management's 23.1% implied CAGR. We view 10% penetration as a conservative and low bar given SailPoint's large regulated-enterprise customer base and more than $200 million of current AI-driven pipeline. If adoption reaches 20%-30%, which we believe is achievable as enterprise AI production deployments scale, total ARR could approach $2.2-$2.3 billion (25.1%-26.9% CAGR). This upside does not require heroic outperformance of our core assumptions and suggests that adoption of SailPoint's AI identity security products can potentially drive significant positive revisions over a multi-year horizon above management's existing target.

Debate 3 – Can the Stock Appreciate with Thoma Bravo's Overhang? Thoma Bravo's large stake (approximately 85% ownership) is the biggest stock overhang and likely contributes to SailPoint's valuation discount relative to peers. We believe the current setup differs meaningfully from the sponsor's rapid post-2017 IPO exit. Following the 2017 IPO, Thoma Bravo began monetizing at the initial offering and fully exited within 13 months through successive secondaries. By contrast, in SailPoint's 2025 IPO Thoma Bravo sold only a small portion of its stake and has since retained approximately 85% ownership well beyond the lockup expiration. In our opinion, SailPoint is among Thoma Bravo's strongest portfolio companies. Consequently, we expect the sponsor to take longer to monetize its position as it seeks favorable exit terms to maximize performance. We believe this points to a more deliberate, staged monetization process rather than a repeat of the rapid 2017 sell-down. While future secondaries could create temporary volatility, the 2025 IPO demonstrated the market's capacity to absorb a meaningfully larger net offering (~$1.2B in 2025 vs. ~$155M in 2017). More importantly, sustained ARR outperformance and evidence of growing leadership in AI identity security may balance out liquidity concerns before future secondaries emerge. Additionally, if SailPoint's significant discount to peers sustains, strategic buyers could emerge, making SailPoint a potential acquisition target. We view a successfully marketed secondary as the most likely path to broaden SailPoint's float and turn the sponsor overhang from an open-ended concern into a smoothly managed process.

Financial Outlook. We are positive on SailPoint's growth opportunities and believe the company can sustain a >20% revenue CAGR (FY26-29), ahead of the core IGA market's estimated 3-year CAGR of ~10% and our broader total available market (TAM) estimated CAGR of ~16%. To support its growth initiatives, we expect SailPoint to continue to invest in its sales and marketing efforts, and expand its enterprise reach within the United States and abroad (particularly Europe). We also expect sustained investment in R&D to support new product development, and incremental feature capability additions to the existing product portfolio. To reflect these dynamics, we model a gradual expansion in operating margins from ~18% in FY26 to ~22% in FY29. Even with ongoing investments, we anticipate SailPoint's margin profile to improve as revenues scales and from better unit economics as average ARR per customer expands faster than the cost to acquire and serve.

Exhibit 1: SailPoint Guidance & Oppenheimer Estimates

Key Metrics	FY2026A	SailPoint FY27 Guide	FY2027E	FY2028E	FY2029E	L-T Targets
Total ARR ($M)	$1,125	$1,375-$1,385M	$1,390	$1,726	$2,136	
ARR Growth YoY	*28.3%*	*22-23%*	*23.5%*	*24.2%*	*23.8%*	
Total Revenue ($M)	$1,071	$1,265-$1,275M	$1,275	$1,545	$1,881	
Revenue Growth YoY	*24.4%*	*18-19%*	*19.0%*	*21.2%*	*21.7%*	
Adj. Gross Margin (%)	*77.8%*		*77.7%*	*78.5%*	*78.8%*	***~80.0%***
Adj. Op. Income ($M)	$194	$239-$244M	$243	$315	$421	
Adj. Op. Margin (%)	*18.1%*	*18.7%-19.3%*	*19.0%*	*20.4%*	*22.4%*	***~30.0%***
Adj. EPS (diluted)	$0.24	$0.30 - $0.34	$0.32	$0.41	$0.55	
Free Cash Flow ($M)	$52	$200M	$200	$273	$407	
Free Cash Flow Margin (%)	*4.8%*	*15.8%*	*15.7%*	*17.7%*	*21.7%*	***~32.0%***

Source: Oppenheimer & Co

Valuation. Our $30 price target reflects 11x our CY27 revenue estimate of $1.55 billion, which we believe is appropriate given SailPoint's strong ARR growth (estimate 23.8%, 3-year CAGR through FY29), premium NRR profile (113%), and improving operating leverage. Comparable identity and cybersecurity software companies, including Okta and CrowdStrike, trade between ~6-37x NTM revenue across a range of growth profiles. We believe SailPoint deserves a premium valuation given its high and accelerating revenue growth rate, large installed base of Fortune 500 customers (~53% of them), and nascent AI agent optionality. We caution that risks include competitive pressure from Microsoft, Palo Alto Networks (CyberArk), Saviynt, and Okta in the mid-market, as well as the potential overhang from any future sales of Thoma Bravo's remaining stake.

Company Overview

SailPoint offers identity governance security solutions that manage identity access to specific enterprise resources and continuously verify that access remains appropriate. Founded by Mark McClain in 2005, SailPoint has evolved its product portfolio from on-premises identity governance to a unified, AI-powered cloud platform spanning human, machine, and AI agent identities. Thoma Bravo took SailPoint private in 2022 before relisting the company in February 2025 under the ticker SAIL, retaining control as majority stockholder.

SailPoint's portfolio is built on Atlas, a multi-tenant software-as-a-service (SaaS) platform that unifies identity, data, and security context through a common identity graph, a shared policy engine, and hundreds of prebuilt connectors. Built on Atlas is the SailPoint Identity Security platform which includes two products: Human Fabric and Agentic Fabric.

Human Fabric, the successor to SailPoint's Identity Security Cloud (ISC), governs human identities such as employees, contractors, and partners. Key capabilities include lifecycle management, access certification, access modeling, and analytics capabilities. The solution is available through three suite tiers: Standard, Agentic Business, and Agentic Business Plus. Standard covers human identities only, while Agentic Business extends governance to human and non-human identities. Agentic Business Plus extends this further, adding zero standing privileges, just-in-time access, and real-time remediation. Customers can also add modules, including Non-Employee Risk Management, Access Risk Management, Cloud Infrastructure Entitlement Management, Password Management, and Accelerated Application Management, to extend the capabilities of any of the Human Fabric suites.

Agentic Fabric, generally available since August 2026, provides similar controls to machine identities and AI agents, with expanded discovery capabilities built with SailPoint's recent Entro Security acquisition. It is available as a standalone product, and is offered in three tiers, Standard, Enterprise, and Platinum. SailPoint's standalone option gives legacy on-premise customers and new customers an agentic entry point that does not require a prerequisite human identity suite purchase.

Pricing for both products follows an annual subscription model, licensed by human and non-human identity counts. Agentic Business and Agentic Business Plus suites offer coverage for five non-human identities per human identity, with additional capacity packs available should agent, API, or other NHI workflow volumes grow beyond the initial allocation. Navigators, a set of flexible purchasing constructs (Modernization Flex, Premier Flex, and Digital Identity Flex), let customers reallocate spend across identity types and capabilities without renegotiating a contract.

SailPoint also maintains an on-premises product, IdentityIQ (IIQ), a customer-hosted version used primarily by organizations with data residency or self-hosting requirements. Most of the existing customer base has since transitioned to an earlier version of Human Fabric called Identity Security Cloud (ISC), for which the newly introduced Agentic Business and Agentic Business plus suites serve as a direct upgrade path. However, a significant portion remains on IIQ today, representing a high visibility source of future migrations.

SailPoint employs a hybrid sales and go-to-market model that combines direct sales with a central enablement role for indirect channel partners. In FY26, more than 90% of new customer transactions involved a partner. The partner ecosystem spans global system integrators (such as Accenture, Capgemini, Deloitte, KPMG, PwC), value-added resellers (CDW, GuidePoint, Optiv), and a growing list of MSPs (Simeio, Kommando, MajorKey).

As of 2QFY27, SailPoint had $1.23 billion of total ARR, growing 25% YoY, of which $847 million was SaaS ARR, growing 36% YoY as the company's mix shifts away from term and perpetual licenses. The company serves approximately 3,300 customers across roughly 65 countries, including about 53% of the Fortune 500 and about 28% of the Forbes Global 2000. SailPoint ended 2QFY27 with 1,330 customers generating more than $250,000 in ARR (up 22% YoY) and 235 customers generating more than $1 million in ARR (up 27% YoY), while its dollar-based net retention rate (NRR) stood at 113%. Geographically, the United States accounted for 65% of FY26 revenue, with international markets making up the remaining 35%. SailPoint had 3,229 employees as of January 2026 and is headquartered in Austin, TX with additional offices in Pune, India; Tel Aviv, Israel, and London, England. The company holds approximately 80 US patents, with approximately 20 additional applications pending.

Exhibit 2: SailPoint's Strategic Milestones

Year	Milestone
2005	SailPoint Founded
2007	Launch of Identity IQ (on-premise platform)
2010	Launch of IIQ Lifecycle Manager
2013	Launch of IdentityNow (SaaS platform)
2014	SailPoint Acquired by Thoma Bravo
2015	Acquires Whitebox Security, becomes File Access Manager
2017	Completes First IPO; Releases IdentityAI
2020	Acquires Orkus, (Cloud Infrastructure Entitlement)
2021	Acquires ERP Maestro, adds SoD capabilities
2022	Re-Acquired by Thoma Bravo in take-private trasaction, Launch of Identity Security Cloud (ISC)
2023	Launch of Atlas platform, Acquisition of Osirium (Priviliged Task Automation), Acquisition of SecZetta (Non-Employee Risk Managment)
2024	Acquires Double Zero (Identity Threat Detection & Response)
2025	Completes Second IPO; Launch of Harbor Pilot & Agent Identity Security (AIS)
2026	Launch of Agentic Fabric; Acquires Entro (Non-Human Identity)

Source: SailPoint

Investment Thesis

Our positive view on SailPoint is best framed with three debates that dominate investor conversations. One, can SailPoint play a leading role in agentic AI identity security? As the leading incumbent in identity governance with entrenched CISO relationships and a platform retooled for AI agents, we believe SailPoint can. Two, can ARR growth reaccelerate toward management's FY29 target? We believe so. We forecast a 23.8% three-year ARR CAGR, reaching approximately $2.14 billion in FY29, achieving management's >$2.1 billion ARR goal, driven by on-premise to SaaS migration, suite up-tiers, and Agentic Fabric cross-sell. Three, can the stock appreciate despite Thoma Bravo's ~85% ownership overhang? We believe it can. Investors have already shown a willingness to own SailPoint shares well above Thoma Bravo's cost basis. We believe concern here is more psychological than fundamental. Below, we expand on each debate.

Debate No. 1: Can SailPoint Play a Leading Role in Agentic AI Identity Security?

SailPoint's core IGA business is experiencing solid demand, but investors' focus is squarely on the company's ability to participate in the agentic AI identity security opportunity. In our opinion, SailPoint is well positioned to play a meaningful role in AI agent identity security and will become a leading provider to large enterprises. Our view considers that SailPoint's solution is not yet complete and requires further development, though recent M&A and product innovation shows meaningful progress in developing a comprehensive solution.

At its core, SailPoint is an identity governance company, not an authentication provider, directory, or vault. Its key advantage lies in the capabilities it applies to human identities. These strengths map directly to the problems agents create, including lifecycle management, access certification, policy and separation-of-duties modeling, and access intelligence. Agents require identity lifecycle management with rich context, fine-grained policy enforcement, secure delegation, and real-time oversight, and not just simple access to API keys. SailPoint's core competency is in contextual identity modeling, policy-driven

governance, and lifecycle control. Its Agentic Business suites and its standalone Agentic Fabric solutions extend these controls to agents, adding owner assignment and accountability, real-time governance across human and machine identities, and AI/ML-based anomaly detection.

It is important to consider that governance is only one layer of agentic security. Agent security can also be addressed at runtime (workload identity and secrets brokering), in the authentication fabric, through cloud-native workload identity, or at the authorization layer. SailPoint's governance plane is one element of several needed to address the challenges of AI Agents. What SailPoint adds to the governance layer is a deep connector library, strong policy modeling, large reference accounts in regulated industries (banks, insurers, federal/DoD), and a sales force with established head of identity/CISO relationships. What SailPoint historically lacks are runtime authentication and governance of secrets primitives, which are important as runtime brokers need to work in conjunction with governance to credibly handle recertification and ownership attestation, and to provide audit evidence and separation-of-duties modeling.

SailPoint's recent acquisition of Entro, a non-human identity and secrets vendor, gives SailPoint secrets and credential-layer primitives it previously lacked. This partially closes the gap we describe. Additionally, the company's May 2026 launch of Agentic Fabric also extended its capabilities beyond human governance into native agent discovery and governance, and the partial protection of agent and machine identities. With Agentic Fabric, SailPoint addresses AI agent identity security by governing the systems of record in which agents exist, understanding who owns them, what they can do, and whether their permissions remain up to date. In short, SailPoint is making strong progress in expanding its agentic security capabilities and developing a comprehensive solution.

Management frames the company's new Agentic Fabric portfolio around three capabilities: discover, govern, and protect. The discover and govern capabilities are more developed and mature, and bolstered by the Entro acquisition. The protect capabilities are emerging with some kill-switch and enforcement capabilities available today. SailPoint is still developing real-time authorization, prompt security, and SOC-integrated response and remediation capabilities. SailPoint plans to introduce these controls into the security operations center (SOC) through the Shared Signals Framework (SSF). SSF provides SailPoint identity context and allows it to receive threat signals through integrations with other vendors, including its announced CrowdStrike integration. We expect protect capabilities to follow a SailPoint-plus-partner model, with SailPoint providing identity context, policy, and authorization, while security partners contribute runtime telemetry and enforcement. Continued execution on this roadmap remains key, though SailPoint's integrated discovery and governance foundation is more complete than other point solutions which gives us confidence it can close the remaining protection gap.

Overall, we're confident SailPoint will take a leading role in the agentic AI security market. The company enjoys an incumbent position, entrenched relationships with key buyers (CISO, CTO, head of identity, head of AI), and two decades of leadership in the identity governance and administration market. Its platform has been retooled for the agentic opportunity with recent acquisitions, filling key portfolio gaps. From a technology and go-to-market standpoint, we believe SailPoint is well-positioned to benefit from this new opportunity, especially considering enterprise adoption of AI agents remains early and the competitive landscape is nascent.

Debate No. 2: Can ARR Growth Accelerate; Achieving the FY29 Target?

At SailPoint's June 2026 Investor Day, management set a $2.1 billion total ARR target for the end of FY29, implying a 23.1% 3-year CAGR for FY26 to FY29. Consensus estimates are currently just below management's target at ~$2.06 billion (22.4% CAGR), with SaaS ARR contributing ~$1.64 billion (30.1% CAGR). We believe these figures embed little to no AI security adoption. To test our thesis, we analyzed what SailPoint's core business (i.e., excluding AI security contribution) growth assumptions would need to be to deliver an outlook that is in line with consensus estimates.

Our analysis suggests ongoing execution with SailPoint's core business (i.e., excluding AI contribution), including adding new logos in line with historical rates (60-78 quarterly vs. ~64 on average ex. 1QFY27's seasonally low additions) with ARR expansion per customer modestly below historical rates (on average +3.8% QoQ vs. +4.5% QoQ historically) leads

to results roughly in line with current consensus estimates. Our take is consensus bakes in normal deceleration for the core business (ARR/customer) and assumes little to no agentic AI security contribution.

Exhibit 3: Triangulating Consensus Assumptions

Triangulating Consensus Assumptions	1Q27A	2Q27A	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	1Q29E	2Q29E	3Q29E	4Q29E	2029E
SaaS Customers	1,965	2,025	2,090	2,162	2,162	2,222	2,286	2,352	2,424	2,424	2,486	2,552	2,622	2,700	2,743
Net New SaaS Logos	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per SaaS Customer ex. Agentic ($M)	$0.40	$0.42	$0.43	$0.46	$0.46	$0.46	$0.48	$0.50	$0.53	$0.53	$0.54	$0.56	$0.57	$0.60	$0.59
QoQ (%)	3.9%	4.9%	3.5%	5.8%		1.6%	4.2%	3.1%	5.8%		1.7%	3.8%	2.9%	5.4%	
YoY (%)	20.8%	21.2%	21.0%	19.3%	19.3%	16.7%	15.9%	15.5%	15.5%	15.5%	15.6%	15.2%	15.0%	14.6%	12.8%
SaaS ARR	**$781**	**$845**	**$902**	**$987**	**$987**	**$1,031**	**$1,105**	**$1,172**	**$1,278**	**$1,278**	**$1,333**	**$1,421**	**$1,503**	**$1,631**	**$1,631**
Non-SaaS Customers	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285
Average ARR per Non-SaaS Customer ($M)	$0.30	$0.30	$0.30	$0.31	$0.31	$0.31	$0.31	$0.31	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32
QoQ (%)	0.8%	0.5%	0.8%	1.3%		0.8%	0.8%	0.8%	1.2%		0.5%	0.5%	0.5%	0.7%	
YoY (%)	9.7%	7.8%	5.1%	3.4%	3.4%	3.4%	3.6%	3.6%	3.6%	3.6%	3.3%	3.0%	2.7%	2.2%	2.2%
Non SaaS ARR	**$382**	**$384**	**$387**	**$392**	**$392**	**$395**	**$398**	**$401**	**$406**	**$406**	**$408**	**$410**	**$412**	**$415**	**$415**
Total Customers	3,250	3,310	3,375	3,447	3,447	3,507	3,571	3,637	3,709	3,709	3,771	3,837	3,907	3,985	3,985
Net New Logos	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per Customer ($M)	$0.36	$0.37	$0.38	$0.40	$0.40	$0.41	$0.42	$0.43	$0.45	$0.45	$0.46	$0.48	$0.49	$0.51	$0.51
QoQ (%)	2.9%	3.9%	2.7%	4.7%		1.6%	3.5%	2.8%	5.0%		1.7%	3.4%	2.7%	4.7%	
YoY (%)	17.6%	17.6%	16.4%	15.0%	15.0%	13.6%	13.2%	13.2%	13.5%	13.5%	13.5%	13.4%	13.3%	13.1%	13.1%
Total ARR	**$1,163**	**$1,231**	**$1,289**	**$1,379**	**$1,379**	**$1,426**	**$1,503**	**$1,573**	**$1,684**	**$1,684**	**$1,741**	**$1,831**	**$1,915**	**$2,046**	**$2,046**
Consensus est. (Visible Alpha)	**$1,163**	**$1,231**	**$1,290**	**$1,380**	**$1,380**	**$1,421**	**$1,502**	**$1,577**	**$1,685**	**$1,685**	**$1,726**	**$1,840**	**$1,926**	**$2,061**	**$2,061**
ARR Diff. vs. Consensus (%)	**NA**	**NA**	**(0.1%)**	**(0.1%)**	**(0.1%)**	**0.4%**	**0.0%**	**(0.2%)**	**(0.0%)**	**(0.0%)**	**0.9%**	**(0.5%)**	**(0.5%)**	**(0.7%)**	**(0.7%)**

Source: Oppenheimer estimates

The next question is whether SailPoint can achieve management's FY29 ARR target? And by how much could the new agentic security product portfolio accelerate growth? According to our proprietary analysis (see below), we believe management's FY29 target is achievable with AI security offering potentially even more upside to FY29 results. Below we outline our scenario framework, test consensus against it, and size the agentic opportunity across a range of adoption outcomes.

Exhibit 4: ARR Scenarios Summary, Upside vs. Consensus

Summary KPIs & Upside vs. Consensus	1Q27A	2Q27A	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	1Q29E	2Q29E	3Q29E	4Q29E	2029E
Base Case															
% SaaS Customers Adopting Agentic SKUs	0.0%	0.5%	1.0%	2.0%	2.0%	3.0%	4.0%	5.0%	6.0%	6.0%	7.0%	8.0%	9.0%	10.0%	10.0%
Agentic ARR		$2	$5	$11	$11	$18	$25	$33	$42	$42	$54	$64	$77	$90	$90
Total ARR	$1,163	$1,231	$1,294	$1,390	$1,390	$1,444	$1,528	$1,606	$1,726	$1,726	$1,795	$1,895	$1,992	$2,136	$2,136
ARR Upside vs. Consensus (%)	NA	NA	0.3%	0.7%	0.7%	1.6%	1.7%	1.9%	2.5%	2.5%	4.0%	3.0%	3.4%	3.6%	3.6%
Bear Case															
% SaaS Customers Adopting Agentic SKUs	0.0%	0.5%	0.5%	1.0%	1.0%	1.5%	2.0%	2.5%	3.0%	3.0%	3.5%	4.0%	4.5%	5.0%	5.0%
Agentic ARR		$2	$3	$5	$5	$9	$12	$17	$21	$21	$27	$32	$38	$45	$45
Total ARR	$1,163	$1,231	$1,292	$1,384	$1,384	$1,435	$1,515	$1,590	$1,705	$1,705	$1,768	$1,863	$1,953	$2,091	$2,091
ARR Upside vs. Consensus (%)	NA	NA	0.1%	0.3%	0.3%	1.0%	0.9%	0.8%	1.2%	1.2%	2.4%	1.3%	1.4%	1.4%	1.4%
Bull Case															
% SaaS Customers Adopting Agentic SKUs	0.0%	0.5%	1.5%	3.0%	3.0%	5.0%	7.0%	9.0%	11.0%	11.0%	13.5%	16.0%	18.0%	20.0%	20.0%
Agentic ARR		$2	$8	$16	$16	$30	$43	$60	$77	$77	$104	$128	$153	$180	$180
Total ARR	$1,163	$1,231	$1,297	$1,395	$1,395	$1,456	$1,546	$1,633	$1,761	$1,761	$1,845	$1,959	$2,068	$2,226	$2,226
ARR Upside vs. Consensus (%)	NA	NA	0.5%	1.1%	1.1%	2.4%	2.9%	3.6%	4.6%	4.6%	6.9%	6.5%	7.4%	8.0%	8.0%

Source: Oppenheimer estimates

Methodology

Our analysis decomposes SailPoint's SaaS ARR into two parts. The first is the company's core business, which includes its historical human Identity Security Cloud (ISC) suite tiers, a la carte purchases, and module add-ons. This component excludes any AI security product, suite, or add-on contribution. The second is the AI security contribution in isolation, covering those portions of the Agentic Business suites and Agentic Fabric. We calculate this as the percentage of SaaS customers adopting an AI security solution multiplied by ARR uplift per adopting customer. In our analysis, we assumed:

1. A ~60% uplift to average SaaS ARR per adopting customer, consistent with management's FY2Q27 disclosure that its installed base customers adopting an AI-driven security solution increased annual spend by more than 60%. We note our AI security contribution is an incremental measure and is not directly comparable to

management's AI-driven ARR metric, which also captures re-packaged human identity spend.

2. Net new SaaS logos per quarter aligned with historical averages, and growth in average ARR per SaaS customer slightly below the historical trend. These core (i.e., excluding AI security contributions) SaaS drivers are held constant across our scenarios.

3. Non-SaaS ARR (which includes IdentityIQ) on-premises and term licenses and a small services component) is modeled separately, growing to ~$415 million by FY29 (~3% CAGR) as IdentityIQ renewals and contracted service revenue growth modestly outpaces IdentityIQ customer migrations to SaaS.

Base Case

Our base case layers in a conservative AI security ramp. We assume average ARR per SaaS customer growth, before any AI uplift, moderates to an average of ~3.8% per quarter through FY29, versus ~4.5% over the six quarters since the IPO. We also assume SaaS logo adds run at 60 to 78 per quarter, averaging ~67, just above the ~64 average delivered since the IPO (excluding a seasonally light 1QFY27). On the AI side, we assume adoption ramps from ~1% of SaaS customers exiting FY27 to ~10% exiting FY29, or ~270 of ~2,700 customers. At a ~60% ARR uplift per adopter, this adds ~$90 million to SaaS ARR and lifts it to ~$1.72 billion exiting FY29. Adding ~$415 million of non-SaaS ARR brings total ARR to ~$2.14 billion, a 23.8% three-year CAGR and ~$75 million above current consensus estimates. The upside potential versus consensus is entirely due to the AI security contribution, supporting our view that consensus incorporates little to no AI security penetration of the installed base exiting FY29.

Exhibit 5: SailPoint Base Case ARR Scenario

($ in Millions)

ARR Scenario: Base Case	2026A	1Q27A	2Q27A	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	1Q29E	2Q29E	3Q29E	4Q29E	2029E
SaaS Customers	1,950	1,965	2,025	2,090	2,162	2,162	2,222	2,286	2,352	2,424	2,424	2,486	2,552	2,622	2,700	2,743
Net New SaaS Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per SaaS Customer ex. Agentic ($M)	$0.38	$0.40	$0.42	$0.43	$0.46	$0.46	$0.46	$0.48	$0.50	$0.53	$0.53	$0.54	$0.56	$0.57	$0.60	$0.59
QoQ (%)		3.9%	4.9%	3.5%	5.8%		1.6%	4.2%	3.1%	5.8%		1.7%	3.8%	2.9%	5.4%	
YoY (%)	19.0%	20.8%	21.2%	21.0%	19.3%	19.3%	16.7%	15.9%	15.5%	15.5%	15.5%	15.6%	15.2%	15.0%	14.6%	12.8%
SaaS ARR ex. Agentic ARR	**$746**	**$781**	**$845**	**$902**	**$987**	**$987**	**$1,031**	**$1,105**	**$1,172**	**$1,278**	**$1,278**	**$1,333**	**$1,421**	**$1,503**	**$1,631**	**$1,631**
% SaaS Customers Adopting AI Security			0.5%	1.0%	2.0%	2.0%	3.0%	4.0%	5.0%	6.0%	6.0%	7.0%	8.0%	9.0%	10.0%	10.0%
Avg. ARR Uplift - Agentic SKU Adoption			60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%
SaaS Agentic ARR			**$2**	**$5**	**$11**	**$11**	**$18**	**$25**	**$33**	**$42**	**$42**	**$54**	**$64**	**$77**	**$90**	**$90**
Total SaaS ARR	**$746**	**$781**	**$847**	**$907**	**$998**	**$998**	**$1,049**	**$1,130**	**$1,205**	**$1,320**	**$1,320**	**$1,387**	**$1,485**	**$1,580**	**$1,721**	**$1,721**
Avg. ARR per SaaS Customer		$0.40	$0.42	$0.43	$0.46	$0.46	$0.47	$0.49	$0.51	$0.54	$0.54	$0.56	$0.58	$0.60	$0.64	$0.64
Non-SaaS Customers	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285
Average ARR per Non-SaaS Customer ($M)	$0.29	$0.30	$0.30	$0.30	$0.31	$0.31	$0.31	$0.31	$0.31	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32
QoQ (%)		0.8%	0.5%	0.8%	1.3%		0.8%	0.8%	0.8%	1.2%		0.5%	0.5%	0.5%	0.7%	
YoY (%)	13.3%	9.7%	7.8%	5.1%	3.4%	3.4%	3.4%	3.6%	3.6%	3.6%	3.6%	3.3%	3.0%	2.7%	2.2%	2.2%
Non SaaS ARR	**$379**	**$382**	**$384**	**$387**	**$392**	**$392**	**$395**	**$398**	**$401**	**$406**	**$406**	**$408**	**$410**	**$412**	**$415**	**$415**
Total Customers	3,235	3,250	3,310	3,375	3,447	3,447	3,507	3,571	3,637	3,709	3,709	3,771	3,837	3,907	3,985	3,985
Net New Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per Customer ($M)	$0.35	$0.36	$0.37	$0.38	$0.40	$0.40	$0.41	$0.43	$0.44	$0.47	$0.47	$0.48	$0.49	$0.51	$0.54	$0.54
QoQ (%)		2.9%	3.9%	3.1%	5.2%		2.1%	3.9%	3.2%	5.4%		2.3%	3.8%	3.2%	5.2%	
YoY (%)	18.0%	17.6%	17.6%	16.9%	15.9%	15.9%	15.0%	15.0%	15.2%	15.4%	15.4%	15.6%	15.4%	15.4%	15.2%	15.2%
Total ARR	**$1,125**	**$1,163**	**$1,231**	**$1,294**	**$1,390**	**$1,390**	**$1,444**	**$1,528**	**$1,606**	**$1,726**	**$1,726**	**$1,795**	**$1,895**	**$1,992**	**$2,136**	**$2,136**

Source: Company data, Oppenheimer & Co. Inc. estimates

We believe our base case adoption assumption (~10% of installed base exiting FY29) is conservative. SailPoint's customers are most commonly large enterprises in regulated industries, including banks, insurers, healthcare providers, and federal agencies. Large enterprise customers are unlikely to deploy AI agents without effective full lifecycle, ownership, and access governance in place. They are likely to apply strict compliance, audit, and separation-of-duties requirements to agentic identities as they do to human identities. We expect that most large enterprises moving agents into production will require an identity solution for those agents, and regulatory pressure may even force adoption in several verticals by FY29. Against this backdrop, ~10% penetration of the installed base three years out looks low, particularly when considering SailPoint's AI-driven pipeline already exceeds $200 million. Based on our framework, every 10 percentage points of installed base adoption of AI security products or suites adds roughly $90 million of incremental SaaS ARR exiting FY29.

Bear and Bull Cases

Our bear case halves the agentic ramp to ~5% exiting FY29, holding core business assumptions unchanged. This yields an AI security contribution of just $45 million, SaaS ARR of ~$1.68 billion, and total ARR of ~$2.09 billion, ~$30 million above consensus and marginally short of the company's $2.1 billion target. Our bull case assumes 20% penetration, generating ~$180 million of AI security contribution, SaaS ARR of ~$1.81 billion, and total ARR of ~$2.22 billion, a 25.5% three-year CAGR and ~$165 million above consensus estimates.

Exhibit 6: SailPoint Bear Case ARR Scenario

($ in Millions)

ARR Scenario: Bear Case	2026A	1Q27A	2Q27A	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	1Q29E	2Q29E	3Q29E	4Q29E	2029E
SaaS Customers	1,950	1,965	2,025	2,090	2,162	2,162	2,222	2,286	2,352	2,424	2,424	2,486	2,552	2,622	2,700	2,743
Net New SaaS Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per SaaS Customer ex. Agentic ($M)	$0.38	$0.40	$0.42	$0.43	$0.46	$0.46	$0.46	$0.48	$0.50	$0.53	$0.53	$0.54	$0.56	$0.57	$0.60	$0.59
QoQ (%)		3.9%	4.9%	3.5%	5.8%		1.6%	4.2%	3.1%	5.8%		1.7%	3.8%	2.9%	5.4%	
YoY (%)	19.0%	20.8%	21.2%	21.0%	19.3%	19.3%	16.7%	15.9%	15.5%	15.5%	15.5%	15.6%	15.2%	15.0%	14.6%	12.8%
SaaS ARR ex. Agentic ARR	**$746**	**$781**	**$845**	**$902**	**$987**	**$987**	**$1,031**	**$1,105**	**$1,172**	**$1,278**	**$1,278**	**$1,333**	**$1,421**	**$1,503**	**$1,631**	**$1,631**
% SaaS Customers Adopting AI Security			0.5%	0.5%	1.0%	1.0%	1.5%	2.0%	2.5%	3.0%	3.0%	3.5%	4.0%	4.5%	5.0%	5.0%
Avg. ARR Uplift - Agentic SKU Adoption			60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%
SaaS Agentic ARR			**$2**	**$3**	**$5**	**$5**	**$9**	**$12**	**$17**	**$21**	**$21**	**$27**	**$32**	**$38**	**$45**	**$45**
Total SaaS ARR	**$746**	**$781**	**$847**	**$905**	**$992**	**$992**	**$1,040**	**$1,117**	**$1,189**	**$1,299**	**$1,299**	**$1,360**	**$1,453**	**$1,541**	**$1,676**	**$1,676**
Avg. ARR per SaaS Customer		$0.40	$0.42	$0.43	$0.46	$0.46	$0.47	$0.49	$0.51	$0.54	$0.54	$0.55	$0.57	$0.59	$0.62	$0.62
Non-SaaS Customers	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285
Average ARR per Non-SaaS Customer ($M)	$0.29	$0.30	$0.30	$0.30	$0.31	$0.31	$0.31	$0.31	$0.31	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32
QoQ (%)		0.8%	0.5%	0.8%	1.3%		0.8%	0.8%	0.8%	1.2%		0.5%	0.5%	0.5%	0.7%	
YoY (%)	13.3%	9.7%	7.8%	5.1%	3.4%	3.4%	3.4%	3.6%	3.6%	3.6%	3.6%	3.3%	3.0%	2.7%	2.2%	2.2%
Non SaaS ARR	**$379**	**$382**	**$384**	**$387**	**$392**	**$392**	**$395**	**$398**	**$401**	**$406**	**$406**	**$408**	**$410**	**$412**	**$415**	**$415**
Total Customers	3,235	3,250	3,310	3,375	3,447	3,447	3,507	3,571	3,637	3,709	3,709	3,771	3,837	3,907	3,985	3,985
Net New Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per Customer ($M)	$0.35	$0.36	$0.37	$0.38	$0.40	$0.40	$0.41	$0.42	$0.44	$0.46	$0.46	$0.47	$0.49	$0.50	$0.52	$0.52
QoQ (%)		2.9%	3.9%	2.9%	5.0%		1.9%	3.7%	3.0%	5.2%		2.0%	3.6%	3.0%	5.0%	
YoY (%)	18.0%	17.6%	17.6%	16.6%	15.5%	15.5%	14.3%	14.1%	14.2%	14.5%	14.5%	14.6%	14.4%	14.4%	14.1%	14.1%
Total ARR	**$1,125**	**$1,163**	**$1,231**	**$1,292**	**$1,384**	**$1,384**	**$1,435**	**$1,515**	**$1,590**	**$1,705**	**$1,705**	**$1,768**	**$1,863**	**$1,953**	**$2,091**	**$2,091**

Source: Oppenheimer estimates

Exhibit 7: SailPoint Bull Case ARR Scenario

($ in Millions)

ARR Scenario: Bull Case	2026A	1Q27A	2Q27A	3Q27E	4Q27E	2027E	1Q28E	2Q28E	3Q28E	4Q28E	2028E	1Q29E	2Q29E	3Q29E	4Q29E	2029E
SaaS Customers	1,950	1,965	2,025	2,090	2,162	2,162	2,222	2,286	2,352	2,424	2,424	2,486	2,552	2,622	2,700	2,743
Net New SaaS Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per SaaS Customer ex. Agentic ($M)	$0.38	$0.40	$0.42	$0.43	$0.46	$0.46	$0.46	$0.48	$0.50	$0.53	$0.53	$0.54	$0.56	$0.57	$0.60	$0.59
QoQ (%)		3.9%	4.9%	3.5%	5.8%		1.6%	4.2%	3.1%	5.8%		1.7%	3.8%	2.9%	5.4%	
YoY (%)	19.0%	20.8%	21.2%	21.0%	19.3%	19.3%	16.7%	15.9%	15.5%	15.5%	15.5%	15.6%	15.2%	15.0%	14.6%	12.8%
SaaS ARR ex. Agentic ARR	**$746**	**$781**	**$845**	**$902**	**$987**	**$987**	**$1,031**	**$1,105**	**$1,172**	**$1,278**	**$1,278**	**$1,333**	**$1,421**	**$1,503**	**$1,631**	**$1,631**
% SaaS Customers Adopting AI Security			0.5%	1.5%	3.0%	3.0%	5.0%	7.0%	9.0%	11.0%	11.0%	13.5%	16.0%	18.0%	20.0%	20.0%
Avg. ARR Uplift - Agentic SKU Adoption			60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%	60.0%
SaaS Agentic ARR			**$2**	**$8**	**$16**	**$16**	**$30**	**$43**	**$60**	**$77**	**$77**	**$104**	**$128**	**$153**	**$180**	**$180**
Total SaaS ARR	**$746**	**$781**	**$847**	**$910**	**$1,003**	**$1,003**	**$1,061**	**$1,148**	**$1,232**	**$1,355**	**$1,355**	**$1,437**	**$1,549**	**$1,656**	**$1,811**	**$1,811**
Avg. ARR per SaaS Customer		$0.40	$0.42	$0.44	$0.46	$0.46	$0.48	$0.50	$0.52	$0.56	$0.56	$0.58	$0.61	$0.63	$0.67	$0.67
Non-SaaS Customers	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285	1,285
Average ARR per Non-SaaS Customer ($M)	$0.29	$0.30	$0.30	$0.30	$0.31	$0.31	$0.31	$0.31	$0.31	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32	$0.32
QoQ (%)		0.8%	0.5%	0.8%	1.3%		0.8%	0.8%	0.8%	1.2%		0.5%	0.5%	0.5%	0.7%	
YoY (%)	13.3%	9.7%	7.8%	5.1%	3.4%	3.4%	3.4%	3.6%	3.6%	3.6%	3.6%	3.3%	3.0%	2.7%	2.2%	2.2%
Non SaaS ARR	**$379**	**$382**	**$384**	**$387**	**$392**	**$392**	**$395**	**$398**	**$401**	**$406**	**$406**	**$408**	**$410**	**$412**	**$415**	**$415**
Total Customers	3,235	3,250	3,310	3,375	3,447	3,447	3,507	3,571	3,637	3,709	3,709	3,771	3,837	3,907	3,985	3,985
Net New Logos	260	15	60	65	72	212	60	64	66	72	262	62	66	70	78	276
Average ARR per Customer ($M)	$0.35	$0.36	$0.37	$0.38	$0.40	$0.40	$0.42	$0.43	$0.45	$0.47	$0.47	$0.49	$0.51	$0.53	$0.56	$0.56
QoQ (%)		2.9%	3.9%	3.3%	5.4%		2.5%	4.3%	3.7%	5.8%		3.0%	4.4%	3.7%	5.5%	
YoY (%)	18.0%	17.6%	17.6%	17.1%	16.4%	16.4%	16.0%	16.4%	16.8%	17.3%	17.3%	17.8%	17.9%	17.9%	17.6%	17.6%
Total ARR	**$1,125**	**$1,163**	**$1,231**	**$1,297**	**$1,395**	**$1,395**	**$1,456**	**$1,546**	**$1,633**	**$1,761**	**$1,761**	**$1,845**	**$1,959**	**$2,068**	**$2,226**	**$2,226**

Source: Oppenheimer estimates

Bottom Line

Our take is that management's FY29 target is achievable and consensus is too low under multiple reasonable paths. If average SaaS ARR per customer compounds at its post-IPO pace of ~4.5% per quarter and net new SaaS logos remain near ~65 per quarter, total ARR would reach ~$2.15 billion exiting FY29 without any AI security contribution. Our base case is more conservative, slowing core ARR per customer growth to ~3.8% per quarter, and layers in only ~10% AI security penetration to reach ~$2.14 billion of total ARR, ~$75 million above consensus and ~$36 million above management's target.

Bottom line, consensus appears to embed little to no AI security adoption despite early evidence that AI security solutions will contribute meaningfully to ARR growth. With our more conservative core assumptions, SailPoint requires only ~6% to 7% installed-base adoption to reach its $2.1 billion target, which reflects penetration below our 10% base case. While the precise upside is difficult to project this early in the AI adoption cycle, in our opinion SailPoint's large-enterprise customer base, more than $200 million AI-driven pipeline, and early AI ARR uplift dynamics support material upside potential to consensus FY29 SaaS ARR estimates.

Debate No. 3: Can The Stock Work with the Thoma Bravo Overhang?

SailPoint's ownership structure is one of the largest sponsor overhangs in enterprise software and a likely contributor to the company's valuation discount relative to security software peers. Increased liquidity is a key hurdle for public investors, but we believe SailPoint's first IPO offers a useful precedent for how Thoma Bravo may sell down its position over time. Although, there are important differences this time around.

Thoma Bravo's relationship with SailPoint began when SailPoint was still a venture-backed business. In 2013, SailPoint management sought growth capital to support the company's next phase of expansion. Thoma Bravo emerged from that process and bought out SailPoint's existing venture investors, becoming the majority owner in September 2014. SailPoint remained private for another three years before its first IPO in 2017.

At the 2017 IPO, SailPoint and selling stockholders offered 23.0 million shares after the overallotment, consisting of 15.8 million primary shares issued by the company and 7.2 million secondary shares sold by existing holders. The offering reduced Thoma Bravo's ownership from approximately 80% before the IPO to 58%. Marketed secondaries in May and August 2018 subsequently reduced its ownership to approximately 34% and 16%, respectively, before Thoma Bravo completely exited the remaining position by year-end.

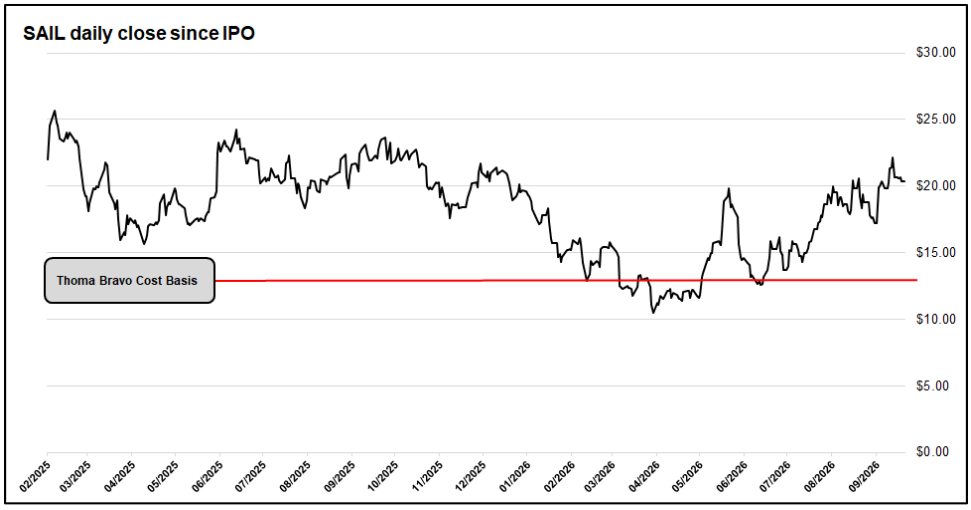
Nearly four years after completing its exit, Thoma Bravo reacquired SailPoint in August 2022 in an all-cash transaction valued at approximately $6.9 billion. Approximately 2.5 years later, SailPoint again went public in February 2025. Following this second IPO, Thoma Bravo retained more than 85% of SailPoint, and that ownership has not significantly changed despite the post-IPO lockup expiring in August 2025. SailPoint therefore remains a controlled company, with Thoma Bravo retaining significant board nomination rights.

It's important we highlight the differences between the 2025 IPO and the 2017 IPO. In 2017, Thoma Bravo materially monetized its holdings at the IPO accounting for ~30% of the overall shares sold (7.2 million out of 23.0 million shares issued). In the 2025 IPO, Thoma Bravo sold only a small fraction of its holding and accounted for just 4.2% of the overall shares sold (2.5 million out of 60.0 million shares issued). Thoma Bravo therefore retained approximately 86% ownership immediately after the 2025 IPO, meaning the transaction established a public float but did little to reduce the sponsor position. The pace of monetization has also been much slower following the 2025 IPO. Thoma Bravo still owns approximately 85% of SailPoint, as of the most recent filings. This contrasts sharply with the 2017 IPO, after which Thoma Bravo fully exited its position within 13 months.

We believe the stock can work before Thoma Bravo fully exits for several reasons. First, the public market absorbed a substantially larger offering in 2025 than in 2017, demonstrating greater capacity to absorb future sponsor sales. Second, we believe SailPoint is among the highest-quality companies in Thoma Bravo's portfolio, supporting a more patient monetization process as the sponsor seeks the most favorable exit terms to maximize returns, reducing near-term supply pressure and allowing the float to expand more gradually. Third, sustained ARR outperformance and evidence SailPoint is emerging as a leader in agentic identity security could increasingly outweigh ownership concerns. Finally, if marketed secondaries fail to materialize, SailPoint's strategic value to larger security platforms could provide another exit path. Ultimately, we expect improving operating performance followed by a successfully marketed secondary as the most likely outcome,

helping to turn the Thoma Bravo overhang from an open-ended concern into a visible and well managed process.

Exhibit 8: SailPoint (SAIL) Price History & Thoma Bravo Cost Basis



Source: FactSet, Company Reports

Large Market Opportunity (TAM Analysis)

SailPoint addresses the enterprise identity security market, which encompasses tools and platforms to manage, govern, and secure every type of digital identity and its associated access rights. The company's core solutions have historically addressed the IGA (identity governance and administration) market, but in recent years have expanded into adjacent markets including Cloud Infrastructure Entitlement Management (CIEM), Non-Human/machine Identity security (NHI), and the emerging AI agent identity security market.

Across these categories, we estimate SailPoint's combined addressable market at approximately $20.8 billion in 2026, growing to approximately $32.8 billion by 2029, reflecting a three-year CAGR of approximately 16.4%. This TAM estimate is derived from third-party research, industry data, and our own bottoms-up analysis. We note that SailPoint's own management estimates a broader +$50 billion long-term opportunity encompassing a wider definition of identity security including adjacent security markets, but our focus is on segments where SailPoint is commercially competitive today. Below we review the key segments.

- **Identity Governance & Administration (IGA).** ($4.9B in 2026E, +9.7% 2026-2029E CAGR to $6.5B). SailPoint's core competencies lie in the IGA market where it delivers a range of capabilities through its human fabric product and legacy on-premise Identity IQ offering. The combination of human fabric and Identity IQ provides full life cycle management, access requests, access certifications, separation-of-duties policy enforcement, and role management across on-prem, cloud, and SaaS applications. SailPoint is a clear leader in this category supporting hundreds of applications with mature capabilities and one of the strongest competitive positions when compared to other IGA vendors.
- **Cloud Infrastructure Entitlement Management (CIEM).** ($3.2B in 2026E, +37.9% 2026-2029E CAGR to $8.4B). SailPoint entered the CIEM market in 2022, introducing CIEM as an add-on to its core SaaS platform, which extends its governance model from workforce identities to cloud infrastructure entitlements. The product provides continuous visibility into effective access across AWS, Azure, and GCP, flags over-permissioned and unused entitlements, and runs cloud-specific access certifications within the same control plane used to govern human identities. SailPoint's differentiation is its governance-led approach. Rather than treating cloud entitlements as a posture-management feature, it folds them into the broader IGA fabric for unified certification, policy, and least-privilege enforcement. It competes with cloud-security-native vendors (Wiz, Palo Alto Networks' Prisma Cloud, CrowdStrike, Tenable) and

IAM-native tools (Microsoft Entra Permissions Management). While several peers carry deeper CNAPP/runtime capabilities, industry sources recognize SailPoint as a leader on governance depth and enterprise scale.

- **Machine/Non-Human Identity (NHI).** ($12.7B in 2026E, +12.2% 2026-2029E CAGR to $17.9B). SailPoint entered the machine identity market in October 2024 with the launch of Machine Identity Security (MIS), a dedicated product built on the Atlas platform to discover, govern, and secure non-human accounts. It has since been consolidated alongside Data Access Security (DAS) and Agent Identity Security (AIS) modules under a single offering, Agentic Fabric. Agentic Fabric extends the same lifecycle controls SailPoint applies to human identities (discovery, classification, certification, and de-provisioning) to service accounts, bots, RPAs, and AI agents. On average, these identities now vastly outnumber human users in enterprise environments, typically by a factor of 40–80x, representing a fundamentally different security challenge than traditional identity security.
- **AI Agent Identity.** SailPoint entered the AI agent identity market in 2025 with the launch of Agent Identity Security (AIS). In mid-2026, the company announced the bundling of AIS with MIS and DAS modules to form Agentic Fabric, a new solution that discovers, governs, and protects AI agent identities across enterprise environments (cloud or on-prem). At the same time, the company introduced a unified Agentic Business Suite, a single licensable offering for humans, agents, and other machine identities. With these in place, SailPoint now offers customers the ability to govern AI agent identities alongside their existing human workforce or as a standalone solution. Because agent identities are a subset of the NHI opportunity, we included this segment in our Machine/NHI market forecast. Our estimated AI agent identity contribution remains small today, although it's the most likely source of upside to our NHI market forecast should agentic deployments scale faster than expected.

Exhibit 9: SailPoint Total Addressable Market by Segment

Market Segment	CY26E TAM	CY29E TAM	CAGR	SailPoint Products	Perceived Product Capabilities
Identity Governance & Admin (IGA)	$4.9B	$6.5B	9.7%	Lifecycle Management, Compliance Management, Access Modeling	●
Cloud Infrastructure Entitlement Management (CIEM)	$3.2B	$8.4B	37.9%	Cloud Infrastructure Entitlement Management	○
Machine/ Non-Human Identity (NHI)	$12.7B	$17.9B	12.2%	Machine Identity Security, Agent Identity Security, Data Access Security	◑
Total Combined Opportunity	**$20.8B**	**$32.8B**	**16.4%**	**Full Platform**	**NA**

Source: Gartner, Grand View Research, Markets & Markets and Oppenheimer & Co. estimates. All figures approximate.

Within this combined TAM, the IGA market is SailPoint's most firmly established segment. According to Gartner, SailPoint holds one of the top positions in the Voice of the Consumer IGA matrix and has maintained that leadership position for over a decade. Based on Gartner's estimate of ~$4.9B of IGA TAM in CY26 and our CY26 ARR estimate, SailPoint has captured ~28.4% of the IGA TAM today. However, within the broader IGA+CIEM+NHI opportunity, SailPoint has captured a much smaller ~6.7% share, suggesting substantial runway for additional organic share gains from legacy identity security tooling as customers seek to modernize aging deployments and legacy identity stacks.

Products and Platform Overview

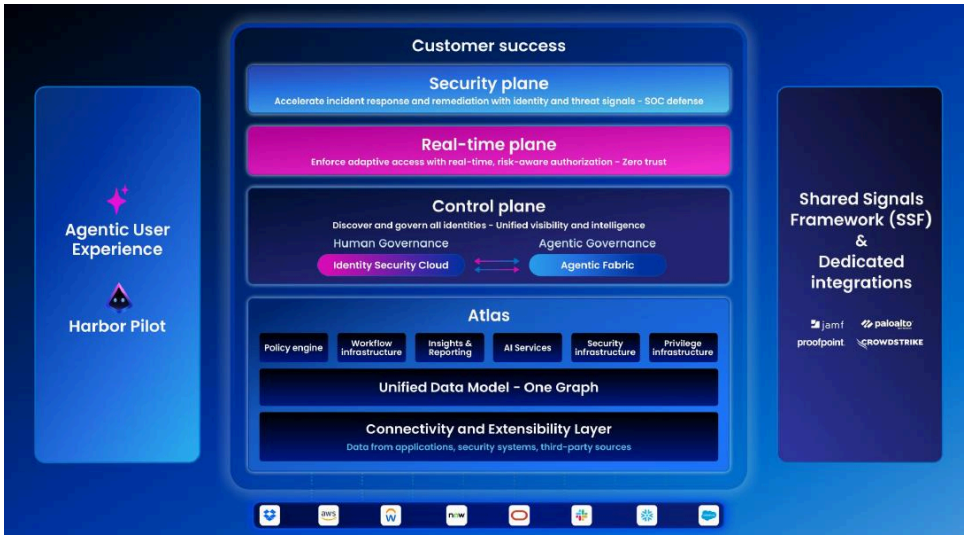
The Atlas Platform: A Unified Identity Infrastructure

SailPoint's architecture, Atlas, serves as the common infrastructure layer underlying SailPoint Identity Security, and its Human Fabric and Agentic Fabric solutions. Atlas provides a unified data model, known as the identity graph, enabling a shared policy engine, workflow automation, security orchestration, a connectivity and extensibility layer, and a shared set of AI services engineered for real time telemetry and inline threat response. This foundation lets SailPoint develop new product capabilities without separate infrastructure builds, while accelerating innovation and improving economies of scale.

A critical differentiator of Atlas is its identity graph, which aggregates a 360-degree view of every enterprise identity, human and non-human. The graph captures attributes, entitlements, roles, policies, historical access patterns, risk scores, and behavioral signals across all connected enterprise systems. SailPoint's recent Entro acquisition, expanded Atlas capabilities adding the ability to map the credentials, secrets, and tokens attached to non-human identities. This multidimensional identity context enables SailPoint's AI models to make sophisticated recommendations, flag anomalous access patterns, and drive automated remediation, capabilities that other vendors cannot easily replicate.

Atlas incorporates four major AI capabilities. (1) Recommendations, which provides AI driven access request, provisioning, and certification decisions; (2) Discovery, which automatically identifies and models roles and access patterns; (3) Insights, which surfaces risk signals and compliance gaps proactively; and (4) Harbor Pilot, a conversational AI assistant, which enables users to issue natural language commands, generate configurations, and drive workflow automation with low code and no code tooling.

Exhibit 11: SailPoint Platform



Source: Company Reports

Evolution of Product Motion

SailPoint's product packaging has evolved over time. Through 2025, the company offered its Identity Security Cloud (ISC) in three suite tiers (Standard, Business, and Business Plus) with add-on modules for adjacent use cases, including Non-Employee Risk Management (NERM), Cloud Infrastructure Entitlement Management (CIEM), and Data Access Security (DAS). Later, non-human identity capabilities arrived through a similar add-on module motion, with Machine Identity Security (MIS, introduced October 2024) and Agent Identity Security (AIS, introduced October 2025). These new modules were sold as add-ons just like NERM, CIEM, DAS. In August 2026, the company consolidated its human and non-human identity security portfolio into one single offering: SailPoint Identity Security. ISC was renamed Human Fabric, with no change to the underlying technology, and the agentic modules were combined with the acquired Entro technology into the Agentic Fabric, both running on the same Atlas foundation. Standalone non-human modules are no longer sold

outside of limited exceptions, and the ISC suites were replaced by the Standard, Agentic Business, and Agentic Business Plus suites with each legacy tier mapping to a direct upgrade path.

SailPoint Identity Security: Human Fabric and Agentic Fabric

SailPoint Identity Security, launched in August 2026, is the company's current flagship SaaS platform and the primary vehicle for new customer acquisition. It comprises Human Fabric and Agentic Fabric, providing a unified solution for the governance of humans, machine identities and AI agents. The platform supports 566 out-of-the-box connectors to enterprise applications, spanning HR systems (Workday, SAP), cloud platforms (AWS, Azure, Google Cloud), productivity suites (Microsoft 365, Salesforce, ServiceNow, Slack), mainframes, and on-premises applications. Management targets support for 1,000 connectors by the end of 2026 using an AI agent that builds new custom connectors in minutes.

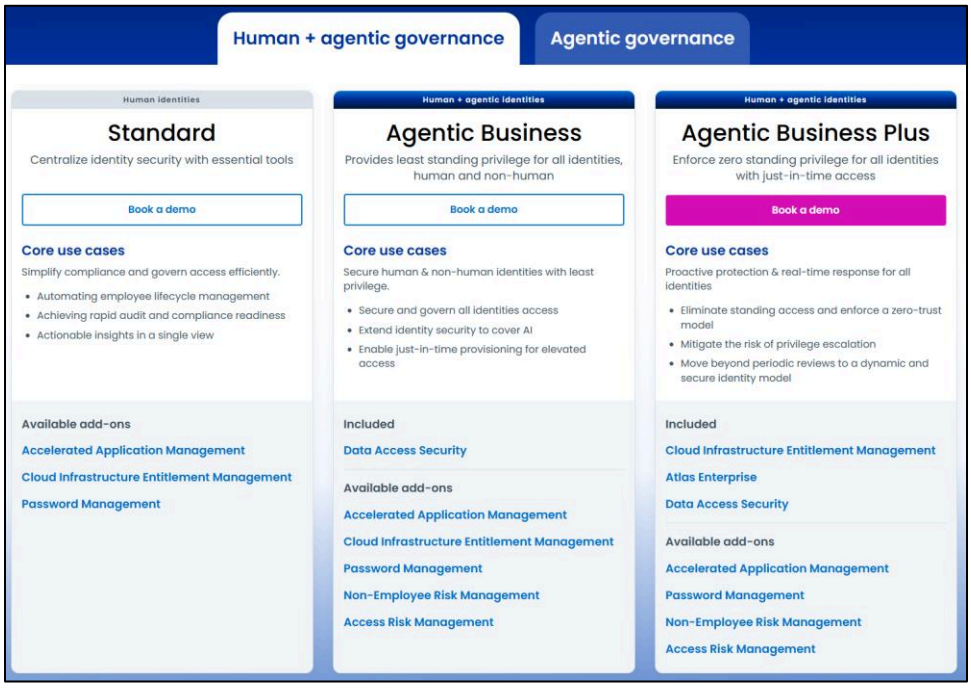
The depth and breadth of SailPoint's integrations is a key competitive moat, as enterprise organizations typically have thousands of connected systems. The company's prebuilt connector library dramatically reduces implementation complexity and time-to-value. The company continues to expand connectivity through its Shared Signals Framework (SSF), a set of purpose-built integrations with leading security vendors including CrowdStrike, Palo Alto Networks, Proofpoint and others. On the agentic side, SailPoint recently added Agent Identity Security connectors for Snowflake and Databricks, a Cursor Enterprise connector for autonomous coding agents, and a Claude Enterprise integration built on Anthropic's Compliance API.

Human Fabric

Human Fabric is the human identity governance product within SailPoint Identity Security. It includes the core governance capabilities on which SailPoint built its franchise: access request, access certification, role management, policy management, lifecycle events, and separation of duties enforcement. All of which are supported by AI-driven recommendations, discovery, and insights. Human Fabric is sold through three suites with five add-on modules. The three suites include:

- **Standard** – supports human identities only and centers on lifecycle automation and compliance, including access request, certification, role and policy management, and separation of duties enforcement. Management has indicated that Standard may not be offered indefinitely, as nearly all new business is expected to include agentic suites.
- **Agentic Business** – supports human and non-human identities under a least privilege policy. It bundles Human Fabric with Agentic Fabric capabilities and includes Data Access Security, which discovers and classifies sensitive data and governs which identities can reach it. Each licensed human identity carries an allotment of five non-human identities.
- **Agentic Business Plus** – adds zero standing privilege with just-in-time access and real-time response, and includes Data Access Security, Cloud Infrastructure Entitlement Management, and Atlas Enterprise. It is the vehicle through which SailPoint moves human governance from periodic, audit-driven reviews to a continuous model with real-time capabilities. This offering is still early in its ramp, though its legacy equivalent, Business Plus, was the most popular ISC suite, accounting for more than half of suite-based ARR at last disclosure.

Exhibit 12: SailPoint Human Fabric & Agentic Fabric Suites



Source: Company Website

Relevant add-on modules include:

- **Non-Employee Risk Management** – extends lifecycle and risk-based access governance to contractors, partners, and other third-party identities. It's available for the two agentic suites, but not for Standard.
- **Access Risk Management** – detects and prevents separation of duties conflicts and sensitive access risk across SAP environments. It's available only with the two agentic suites.
- **Cloud Infrastructure Entitlement Management** – governs entitlements across AWS, Azure, and Google Cloud. It's an add-on to Standard and Agentic Business, and is included in Agentic Business Plus.
- **Password Management** – provides self-service password reset and synchronization. It's available for all three suites.
- **Accelerated Application Management** – accelerates onboarding of applications that lack prebuilt connectors. It's available for all three suites.

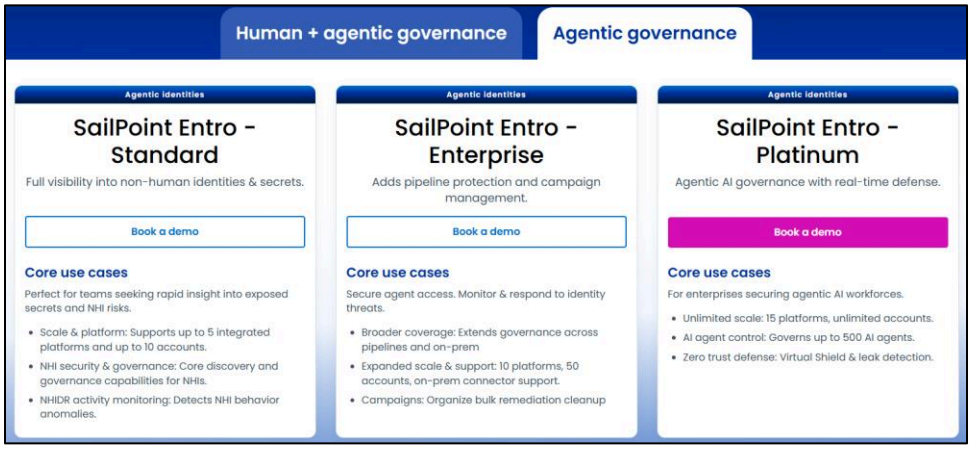
Agentic Fabric

Agentic Fabric is the non-human identity governance product within SailPoint Identity Security. Announced in May 2026 and generally available since August 2026, Agentic Fabric brings AI agents, machine identities such as service accounts, bots, and APIs, and the credentials, secrets, and tokens attached to them into the same identity security model used for humans. It follows a discover, govern, and protect loop: it inventories every agent and maps its lineage, permissions, and human owner; enforces lifecycle policies, access reviews, and least privilege across agentic and non-human identities; and it's designed to deploy a kill switch when an agent violates a guardrail. The Entro acquisition added discovery of credentials, secrets, and tokens across more than 1,200 non-human identity types, anomaly detection on token behavior, interception of malicious AI tool calls, and prompt security, extending the product from governance workflows toward runtime protection. The protect layer features include SOC integrations. Agentic Fabric is delivered exclusively as SaaS, including for IdentityIQ customers who layer it on an on-premises deployment. There are no add-on modules currently available for Agentic Fabric.

Agentic Fabric can be purchased without a human identity suite, allowing SailPoint to land a customer purely as an agent governance vendor. A free Discovery Tool trial gives prospects visibility into shadow AI and unmanaged applications. The standalone tiers are currently marketed under the SailPoint Entro brand, which management expects to retire once Entro is fully integrated, with the new offering sold as SailPoint Agentic Fabric going forward.

- **Standard** – discovery and governance of non-human identities and secrets with activity monitoring for anomalous behavior. Scoped to five integrated platforms and ten accounts.
- **Enterprise** – extends governance to pipelines and on-premises environments and adds campaign-based bulk remediation. Scales to ten platforms and 50 accounts with on-premises connector support.
- **Platinum** – adds agentic AI governance with real-time defense, including Virtual Shield and leak detection. Governs up to 500 AI agents and scales to 15 platforms and unlimited accounts

Exhibit 13: SailPoint Entro Tiers



Source: Company Website

Packaging and Expansion

SailPoint licenses its technology on an annual subscription basis by human and non-human identity count. The agentic suites embed five non-human identities per human identity, and customers can add capacity packs as usage grows, measured in identities, API calls, workflow automation, or data retention. Usage is not precisely metered: SailPoint monitors aggregate consumption and negotiates the next capacity pack when a customer steadily exceeds its contracted allotment, with value-based pricing as identities scale.

SailPoint reports an AI-driven ARR metric to track adoption of its agentic portfolio. The metric encompasses Agentic Fabric, the Agentic Suites, and agentic add-on modules. The agentic modules capture the Agent Identity Security (AIS) and Machine Identity Security (MIS) modules sold prior to their consolidation into Agentic Fabric. Because the Agentic Business Suites also include Human Fabric, the metric carries re-priced human identity spend alongside net new agentic spend. Management does not separate the two. It is therefore a measure of how quickly customers are moving onto agentic packaging rather than a metric of "clean" agentic demand on its own. AI-driven ARR crossed $70 million at the end of 2QFY27 and accounted for more than 30% of NNARR in the quarter. Management targets at least $100 million by FY27 year-end and $800 million by FY29.

IdentityIQ: The On-Premise and Migration Opportunity

IdentityIQ (IIQ), SailPoint's customer-hosted identity security platform, remains an important recurring revenue source. IdentityIQ primarily serves large, complex customers, who are highly interested in maintaining data sovereignty or operate in territories where SailPoint does not host their cloud software. Like Human Fabric, IdentityIQ includes core Lifecycle Manager, Compliance Manager, and Connectors & Integrations. IdentityIQ Customers can also add-on File Access Manager, and SailPoint AI capabilities. IdentityIQ customers can

adopt agentic capabilities by purchasing Agentic Fabric as SaaS alongside the on-premises deployment.

A substantial portion of SailPoint's enterprise installed base currently runs IdentityIQ. At SailPoint's June 2026 Investor Day, management estimated that roughly 85% of the legacy on-premise installed base remains on IdentityIQ and sized the migration opportunity at more than $1 billion of incremental recurring ARR. Migrating customers typically create a 2-3x ARR uplift at migration (closer to 2x where the term mix is heavier). Migrations also drive broader platform adoption: over two-thirds of migrations completed in 2QFY27 added an AI-driven solution.

To facilitate migrations, SailPoint offers two tools to support conversion of the roughly >$350 million remaining non-SaaS ARR base. This reflects approximately $210 million of term subscriptions, $140 million of maintenance on legacy perpetual licenses, and a smaller contracted services component. The tools are:

- **Modernization Flex** – a purchasing construct that combines suite licensing with the flexibility to adopt cloud capabilities progressively, so customers are not paying for IdentityIQ and the SaaS platform in full at the same time.
- **Agentic Acceleration** – an AI-powered migration methodology, powered by SailPoint's Virtual Architect, an engine trained on two decades of complex enterprise deployments that translates legacy configurations, workflows, and policies into a deployment-ready cloud foundation and compresses modernization cycles from months to weeks. SailPoint also applies the tool to legacy Oracle, SAP, and CA environments to convert prospect RFPs into working proofs of concept.

Exhibit 14: SailPoint IdentityIQ



Source: Company Reports

Competition

SailPoint competes in the identity security market against a diverse set of vendors, ranging from large platform providers to pure-play identity specialists. SailPoint's product depth, scale, and completeness in the mid-to-large enterprise IGA segment are its core competitive strengths, where complexity, heterogeneous IT environments, and compliance requirements set a high bar. At its June 2026 Investor Day, management identified competitive displacement as its fastest-growing source of new logos, noting that roughly two-thirds of new customers followed a failed deployment of a competing identity tool, spanning legacy platforms (Oracle, IBM) and newer entrants (Microsoft, Okta, Saviynt). Below, we outline the primary competitors.

Exhibit 15: Identity Security Ecosystem & Perceived Vendor Capabilities

		Identity Security					
	Vendor	AM	PAM	IGA	Machine Identity	Secrets Management	Agentic Identity Security
1Password	1Password	●		◑		○	○
CrowdStrike	CROWDSTRIKE		◑		◑		○
CyberArk (Palo Alto Networks)	CYBERARK	●	●	◑	●	●	○
Delinea	Delinea	◑	●	◑	◑	◑	○
Microsoft	Microsoft	●	◑	◑	◑	◑	○
Okta	okta	●	◑	◑	◑		○
One Identity	ONE IDENTITY		◑	◑			
Ping Identity	PingIdentity	●	◑	●			○
SailPoint	SailPoint	○	◑	●	◑		○
Saviynt	Saviynt	○	◑	●	◑		○
Silverfort	SILVERFORT	◑	◑	◑	●		◑

Source: Oppenheimer & Co, Industry Reports

Large Platform Vendors with Identity Capabilities

Microsoft. Through Microsoft Entra (formerly Azure AD), Microsoft offers Entra ID Governance, Entra Permissions Management (CIEM), and Entra Verified ID. Its primary advantage is distribution. Entra is embedded across many enterprises, and Microsoft can bundle identity governance into M365 E5 licenses, supporting vendor consolidation in price-sensitive segments. However, Microsoft's IGA capabilities are generally considered less mature than SailPoint's in complex, heterogeneous enterprise environments, particularly for non-Microsoft applications, mainframes, and legacy systems. Management reiterated at its 2026 Investor Day that Microsoft has pursued enterprise IGA for several years without materially affecting SailPoint's position in complex accounts. SailPoint Chief Product Officer Levent Besik joined in April 2026 from Microsoft, where he served as Vice President of Product Management for Identity. We view Microsoft as strongest in the SMB and smaller mid-market, where consolidation often prevails over best-of-breed investment, rather than as a direct threat in large-enterprise IGA.

IBM. IBM Security Verify is a cloud-hosted identity platform that competes with SailPoint in identity governance and access management. IBM's principal advantage is its consulting and systems integration practice, whose enterprise relationships can influence identity purchasing before an open RFP. However, the product is broadly considered legacy technology that has not kept pace with modern SaaS architecture, AI-driven access decisions, or cloud-native integration depth, making IBM more of a displacement opportunity than a competitive threat. Our checks indicate SailPoint most often wins against IBM when enterprises modernize aging implementations. IBM remains most relevant where it is entrenched as a primary IT services provider and can rely on procurement inertia to retain existing spend.

Oracle. Oracle Identity Governance (OIG) and Oracle Access Manager (OAM) continue to serve large Oracle-centric enterprises, particularly in regulated industries where Oracle ERP and database deployments are pervasive. However, the products are broadly considered legacy platforms that enterprises maintain because of switching costs rather than differentiated functionality. Oracle is therefore a consistent displacement target for SailPoint. Management has noted multiple large enterprise replacements and views the installed Oracle IGA base as a meaningful source of future pipeline. SailPoint's Agentic Acceleration, originally built to migrate IdentityIQ customers to its SaaS offering, is also being applied to legacy Oracle and CA environments, converting RFPs directly into working proofs of concept.

Identity-Centric Solution Providers

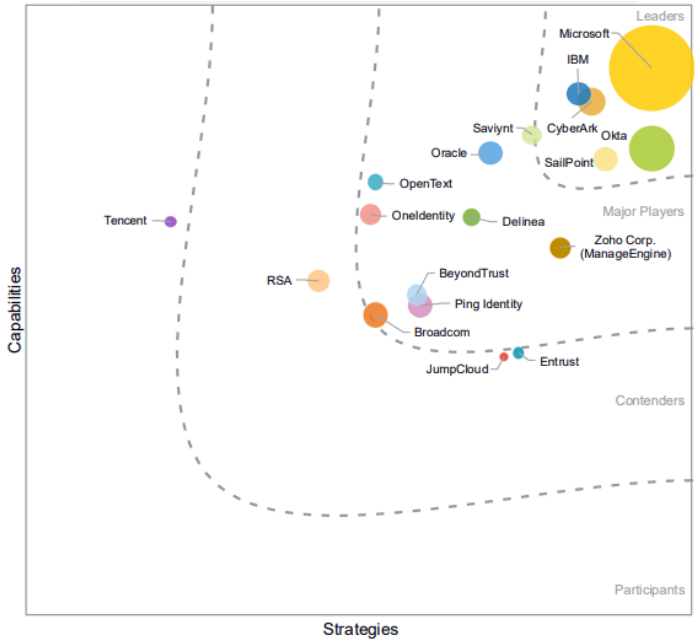
Palo Alto Networks/CyberArk. Palo Alto Networks completed its acquisition of CyberArk in February 2026, making identity security a core pillar of its platform strategy. CyberArk is a leader in privileged access management (PAM) and historically a complementary SailPoint partner, with frequent co-selling in large enterprise environments where PAM and IGA are deployed together. However, CyberArk's 2025 acquisition of Zilla Security added a lightweight, cloud-native IGA capability and created more direct competitive overlap. We view the combined company as more formidable given Palo Alto's distribution, financial resources, and ability to bundle identity security with network and cloud security. Even so, CyberArk's IGA depth remains narrower than SailPoint's in complex enterprise governance. SailPoint is also moving into PAM-adjacent use cases through Agentic Business Plus, which includes zero-standing privilege and just-in-time access for a broader population of roles than traditional PAM addresses. We view this as an important competitive dynamic to monitor.

Okta. Okta's foundational strength is identity and access management (IAM), particularly single sign-on (SSO), multi-factor authentication (MFA), and workforce lifecycle management. Okta expanded into IGA through Okta Identity Governance, launched in early access in 2022 and reaching full general availability in September 2025. While the offering has gained traction in the SMB and lower mid-market, SailPoint remains better positioned for complex enterprise governance. SailPoint management has noted that the company has not lost a Fortune 50 IGA deal to Okta. In practice, the two coexist in many large enterprise accounts, with Okta managing authentication and access provisioning while SailPoint governs entitlements, access certifications, and policy. Okta for AI Agents, generally available since spring 2026, creates more direct overlap with Agentic Fabric. Both solutions discover and register agents, assign human owners, govern lifecycle and access reviews, support credential controls, and enable deactivation. Okta's advantage is its installed authentication footprint, Universal Directory, and Agent SSO and Cross App Access ecosystem. Agentic Fabric is differentiated by its broader governance of AI agents and other non-human identities within SailPoint's identity graph, including relationships to human owners, applications, credentials, endpoints, MCP clients, and data. We view Okta as a more credible competitor in agent identity security than in core large-enterprise IGA, while it remains a partner in many accounts.

Saviynt. Saviynt is a privately held, cloud-native IGA and Cloud PAM (CPAM) vendor that competes directly with SailPoint, particularly in cloud-first enterprise environments and regulated industries including financial services, healthcare, and life sciences. Frequently shortlisted alongside SailPoint in enterprise IGA evaluations, Saviynt is SailPoint's most direct pure-play IGA competitor. Despite this, SailPoint has demonstrated durable win rates in complex enterprise environments, where a broader connector library, deeper AI-driven governance capabilities, and a longer track record managing large-scale identity programs provide meaningful differentiation. SailPoint has named Saviynt as a source of failed deployments generating displacement opportunities. Competition is most intense in mid-sized enterprises and regulated industries evaluating a modern SaaS IGA deployment, where Saviynt's simplified deployment model can be compelling.

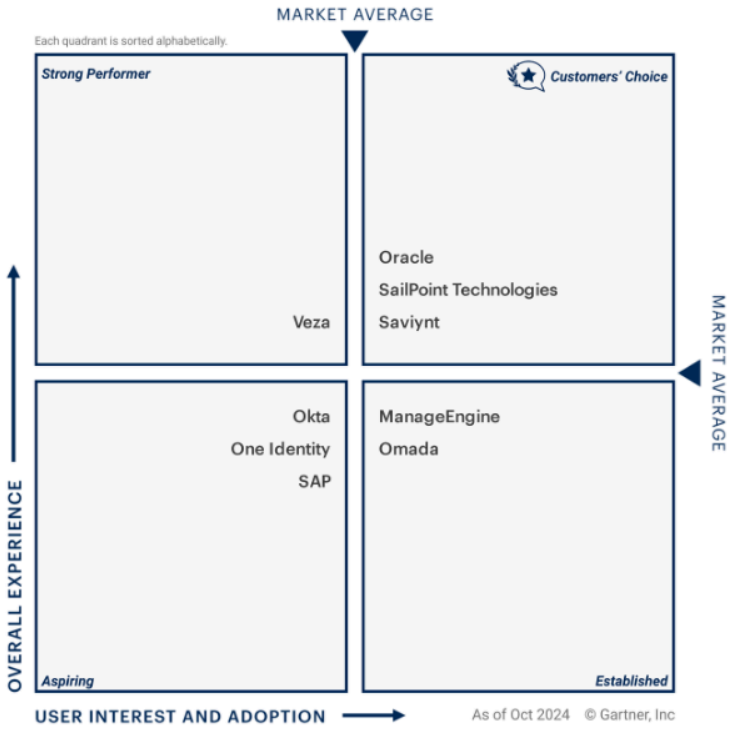
One Identity. One Identity offers a comprehensive IGA and PAM platform across on-premise, hybrid, and SaaS deployment models. It has a particularly strong presence in EMEA and highly regulated industries such as financial services, government, and healthcare, where its on-premise and hybrid capabilities address data residency requirements. Its breadth across IGA, PAM, Active Directory management, and privileged session management supports a compelling consolidation narrative for customers seeking fewer identity security vendors. However, its AI-driven governance capabilities are generally considered less mature than SailPoint's, and its cloud-native architecture has evolved more slowly. We view One Identity as a relevant competitor primarily in EMEA enterprise accounts.

Exhibit 16: Integrated Solutions for Identity Security Vendor Assessment



Source: IDC MarketScape

Exhibit 17: Gartner's IGA Voice of the Consumer Matrix



Source: Gartner

We view SailPoint's competitive position as durable and defensible in the mid-to-large enterprise segment for several reasons. First is the embedded nature of IGA: once an organization's HR, IT, and security operations are integrated with SailPoint, the switching cost is extremely high. Second, SailPoint's 20 years of enterprise IGA expertise have created data moats that are difficult to replicate, since the AI models trained on petabytes of identity data across thousands of complex enterprise deployments produce recommendation quality that new entrants cannot quickly match. Third, the company's

expanding cross-sell portfolio and agentic identity security products deepens the platform footprint, increasing revenue per customer while making displacement harder.

Risks and Investment Concerns

Competitive Intensity from Large Platform Vendors. Microsoft, Okta, and Palo Alto Networks (which owns Idira, formerly CyberArk) possess substantial scale advantages, product depth, distribution reach, and financial resources that could enable more aggressive bundling and pricing strategies across the broader identity security market. If any of these vendors materially improves their IGA capabilities, or effectively bundle their broad identity security solutions, SailPoint could face price pressure or displacement risk, especially in accounts where customers prioritize consolidation over best-of-breed depth. While we believe SailPoint's enterprise differentiation and product breadth mitigates this risk today, the competitive landscape is dynamic and will continue to evolve.

LLM and AI Platform Cannibalization Risk. The rapid advancements of large language models from vendors such as Anthropic, OpenAI, and Google introduces the long-term risk that general purpose AI platforms could embed “good enough” identity governance functionality directly into their infrastructure layers. This could reduce the need for standalone IGA solutions for some customers. In addition, same agentic AI frameworks SailPoint currently secures could, over time, internalize identity context natively, potentially commoditizing the governance layer. We view this as a low-probability event but a structurally important tail risk to consider. SailPoint’s depth of entitlement-level governance across thousands of heterogenous applications, two decades of domain-specific policy context, and the regulatory requirements mandating purpose-built IGA infrastructure all serve as meaningful mitigating factors.

Thoma Bravo Ownership Overhang. Thoma Bravo remains a significant shareholder of SailPoint following the company’s initial public offering in February 2025. As Thoma Bravo seeks to monetize its position over time, potential share sales could create supply pressure on SailPoint's stock. Thoma Bravo has not yet exited much of its position. The timing and pace of any Thoma Bravo sell down could create periodic headwinds for SAIL shares.

SaaS Transition Execution Risk. While SailPoint’s SaaS transition is a long-term margin tailwind, the near-term revenue recognition dynamics create complexity and could introduce quarterly volatility. Term subscription deals (primarily IdentityIQ renewals) recognize revenue upfront in a lump sum, while SaaS deals recognize ratably over the contract period. As the mix shifts toward SaaS, reported revenue growth rates and free cash flow can be temporarily depressed even as ARR growth remains strong. Investors less familiar with the distinction between ARR growth and revenue growth may misinterpret this dynamic as a slowdown.

Macroeconomic Sensitivity. While identity security has proven more resilient than discretionary IT spending, a prolonged macroeconomic downturn could delay enterprise security investment decisions, lengthen sales cycles, or cause customers to defer platform modernization projects. SailPoint's enterprise focus means deal sizes are meaningful (average ARR per customer of approximately $350,000+), and any material slippage of large enterprise deals could impact quarterly results. To date, management has not seen noteworthy macro impact on demand, but this risk warrants monitoring.

Platform Modernization Execution Risk. A significant portion of SailPoint's growth opportunity involves migrating existing IdentityIQ customers to Identity Security Cloud. These migrations are complex, multi-year programs that require significant customer effort and SailPoint professional services support. If platform modernization programs slow, encounter implementation difficulties, or face customer budget constraints, the associated ARR uplift and cross-sell opportunity could be deferred. Execution risk is elevated in highly complex environments (e.g., large manufacturing, healthcare, financial services) where IdentityIQ integrations are deeply customized.

AI Agent Governance Adoption Uncertainty. Agent Identity Security is a new and nascent product category. While the market opportunity is compelling, enterprise adoption of formal AI agent governance frameworks is still in its earliest stages. Regulatory frameworks governing AI agent security are still being developed, and enterprises may defer formal governance investment until regulatory requirements become clearer. Our base case assigns modest near-term ARR contribution from Agent Identity Security; if adoption is

slower than anticipated, the product's contribution to FY27-FY28 results could disappoint versus investor expectations.

Talent and Innovation Risk. SailPoint's competitive differentiation is deeply tied to its engineering talent, AI capabilities, and depth of product innovation. Retaining key technical personnel in a competitive market for AI and cybersecurity engineers is challenging. The company has retained approximately 95% of identified top talent over the past two years, but any material acceleration in attrition, particularly in R&D, could slow the pace of product innovation and erode SailPoint's competitive positioning over time.

GAAP Profitability and Non-GAAP Dependency. SailPoint does not generate GAAP net income and is not expected to do so within our forecast period. The delta between GAAP and non-GAAP results is material, driven primarily by equity-based compensation, amortization of acquired intangibles, and Thoma Bravo-related fees. Management's guidance is framed exclusively around non-GAAP adjusted metrics, and no formal path to GAAP profitability has been disclosed. We believe the investment risk is regime-dependent. In low-rate, risk-on environments, equity markets have historically rewarded high-growth software companies on ARR growth and non-GAAP margin expansion, accepting GAAP losses as a transitory feature of the growth investment cycle. In tighter monetary or risk-off environments, that tolerance has proven fragile: the 2022 multiple compression cycle disproportionately punished GAAP-unprofitable software companies, as investors re-anchored to earnings-based valuation frameworks. Should the rate environment tighten or macro conditions deteriorate, SailPoint's continued GAAP losses could weigh on its multiple regardless of non-GAAP progress, and the stock may be excluded from institutional mandates that screen on reported earnings criteria.

Financial Outlook

We see a significant revenue growth opportunity for SailPoint as it capitalizes on growing enterprise adoption of its IGA tools and the need to extend identity security across machine and AI agent identities, an opportunity we collectively size at approximately $20.8 billion in CY26. We project the company's SaaS ARR to grow at a 32.2% CAGR from FY26 through FY29 and model total ARR to grow at a 23.8% CAGR over the same period, well ahead of our forecasted 16.4% TAM CAGR. Our ARR estimates are approximately 0.7%, 2.5%, and 3.6% above consensus for FY27, FY28, and FY29, respectively, while our revenue estimates are approximately 0.3%, 2.3%, and 4.2% above consensus. We believe the widening gap reflects consensus under-modeling the adoption of AI security products (Agentic Business and Agentic Fabric). We believe SailPoint is well positioned to gain share across market segments as it executes on its on-premise to SaaS customer migration motion (a 2-3x ARR uplift at migration), monetizes Agentic Business suite upgrades, cross-sells Agentic Fabric to its existing installed base, and acquires new logos.

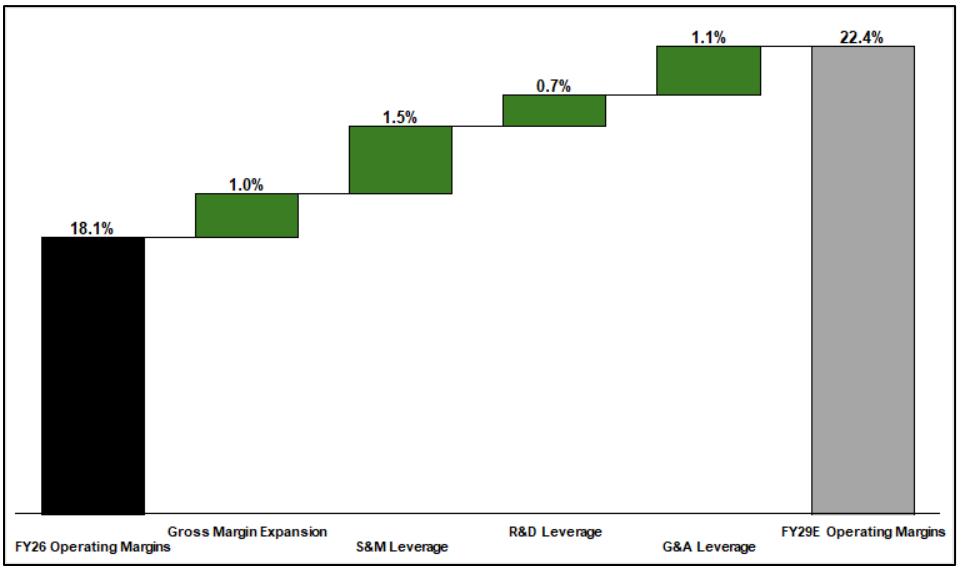
SailPoint's strong execution is reflected in the fast-paced growth of its >$250K ARR and >$1M ARR customers, which have grown at a 22% and 27% YoY pace, respectively, as of FY2Q27. SailPoint's dollar-based net retention rate has held steady in the 113-115% range, and we see good support for DBNRR holding near this level over the near term, supported by (1) steady execution, (2) incremental expansion from on-premise to SaaS migration uplifts, and (3) a broadening AI security opportunity. Specifically, we believe Agentic Business can expand customer spend through suite upgrades and embedded non-human identity capacity, while Agentic Fabric creates a standalone entry point for legacy IIQ and new customers. Together, these offerings add a new cross-sell vector that in our view can increase ARR per customer and support retention as enterprise AI agents move from pilots into production.

SailPoint sells through a subscription model, with customers entering annual and multi-year contracts. The majority of SailPoint's revenue currently comes from its core SaaS-delivered platform (66% of FY26 ARR, and we model approximately 80% by FY29), followed by term subscriptions and maintenance tied to the legacy IdentityIQ (IIQ) installed base. In addition, the company is making early strides with AI agent identity security (Agentic Business and Agentic Fabric solutions). These products contribute minimally to ARR today, though we expect them to become a much larger contributor to NNARR over the coming 12 months.

To support its growth initiatives, we expect SailPoint to continue to invest in its sales and marketing efforts to expand its enterprise presence and extend its international reach. We

also expect the company to invest in research and development to enhance its existing platform, add features to its machine and AI agent identity offerings, and develop new products over time. To reflect this, we project operating expenses to grow at an 18.4% CAGR from FY26 to FY29, below our 20.6% revenue CAGR estimate over the same period. Even with the investment, we expect SailPoint to deliver steady operating leverage and progress toward management's approximately 22% adjusted operating margin framework, a level we model the company reaching by FY29.

Exhibit 18: SailPoint Operating Margin Expansion Components (y-axis not to scale)



Source: Oppenheimer Estimates

Taking a closer look at the individual components of SailPoint's financial model, we model gross margin and operating margin of 77.7% and 19.0% for FY27, 78.5% and 20.4% for FY28, and 78.8% and 22.4% for FY29, respectively. We expect gross margin to remain relatively consistent through the company's growth phase, with subscription gross margin in the low-80% range partially offset by negative professional services margins as SailPoint subsidizes this part of customer migrations, and for S&M and R&D ratios to decline over time as the company's revenue base scales. From a cash flow perspective, we expect free cash flow to increase from approximately $200 million in FY27 to $407 million by FY29, with margin expanding from 15.7% to 21.7% as working capital dynamics normalize post the SaaS transition.

Our current estimates for SailPoint are as follows:

- For FY27, we project ARR of $1.39 billion, SaaS ARR of $998 million, revenue of $1.275 billion, and pro forma EPS of $0.32.
- For FY28, we project ARR of $1.73 billion, SaaS ARR of $1.32 billion, revenue of $1.55 billion, and pro forma EPS of $0.41.
- For FY29, we project ARR of $2.14 billion, SaaS ARR of $1.72 billion, revenue of $1.88 billion, and pro forma EPS of $0.55.

We see good support for our estimates and potential for upside over time if SailPoint: (1) accelerates the pace of the on-premise to SaaS customer migrations across its remaining installed base; (2) sees faster adoption of Agentic Business and Agentic Fabric than assumed in our base case; and/or (3) benefits from faster-than-expected enterprise agentic AI deployments, pulling forward machine-identity capacity-pack demand. Our ARR estimate sits modestly above management's FY27 guidance, consistent with the company's early track record of guiding conservatively and delivering results above the high end of guidance across ARR in every quarter since the 2025 IPO. If upside materializes, we expect management to balance operating leverage outperformance with some reinvestment in product development and go-to-market capacity. In our view, operating leverage and bottom-line outperformance should improve with topline growth and allow SailPoint to deliver on its approximately 22% long-term adjusted operating margin framework.

Exhibit 19: Oppenheimer Key Estimates for SailPoint

Key Metrics	FY2026A	SailPoint FY27 Guide	FY2027E	FY2028E	FY2029E	L-T Targets
Total ARR ($M)	$1,125	$1,375-$1,385M	$1,390	$1,726	$2,136	
ARR Growth YoY	*28.3%*	*22-23%*	*23.5%*	*24.2%*	*23.8%*	
Total Revenue ($M)	$1,071	$1,265-$1,275M	$1,275	$1,545	$1,881	
Revenue Growth YoY	*24.4%*	*18-19%*	*19.0%*	*21.2%*	*21.7%*	
Adj. Gross Margin (%)	*77.8%*		*77.7%*	*78.5%*	*78.8%*	***~80.0%***
Adj. Op. Income ($M)	$194	$239-$244M	$243	$315	$421	
Adj. Op. Margin (%)	*18.1%*	*18.7%-19.3%*	*19.0%*	*20.4%*	*22.4%*	***~30.0%***
Adj. EPS (diluted)	$0.24	$0.30 - $0.34	$0.32	$0.41	$0.55	
Free Cash Flow ($M)	$52	$200M	$200	$273	$407	
Free Cash Flow Margin (%)	*4.8%*	*15.8%*	*15.7%*	*17.7%*	*21.7%*	***~32.0%***

Source: Company reports; Oppenheimer & Co. estimates.

Management's long-term framework calls for approximately 80% adjusted gross margin, 30% adjusted operating margin, and 32% free cash flow margin. These targets would place SailPoint alongside best-in-class scaled software companies. We view the framework as achievable, but likely over more than a five-year horizon given the company's continued investments in go-to-market capacity and product innovation. Our model assumes adjusted operating margin expands from 18.1% in FY26 to 22.4% in FY29, a 430 bps improvement, or approximately 140 bps annually. From our FY29 estimate, SailPoint would require another 760 bps of expansion to reach approximately 30%. Assuming a consistent cadence of operating margin expansion, we estimate SailPoint would attain its long-term framework around FY35, while modest acceleration as the business scales could pull the timing into FY34, implying an FY34-FY35 window. Gross margin is already approaching the approximately 80% framework, leaving sustained leverage in S&M and G&A as the more important drivers of long-term expansion. We believe the approximately 32% free cash flow margin target could follow a similar path as recurring subscription mix increases and working capital normalizes, although cash flow progression may be less linear.

Valuation

We are initiating coverage of SailPoint with an Outperform rating and a $30 price target. Our price target represents approximately ~48% upside from SailPoint's last closing price of $20.29. Our positive view is based on a comparable evaluation of peers, as well as our evaluation of the company's longer-term business model potential in relation to its peers.

We believe it is pertinent to evaluate SailPoint against high-growth, large-TAM security software companies, which target either the same or similar end-markets. These include: (1) identity-focused companies such as Okta; and (2) other security software platform companies such as Palo Alto Networks, CrowdStrike, Zscaler, SentinelOne, Netskope, Fortinet, and Check Point.

SailPoint's overall estimated revenue growth (+19.0% in CY26E, +21.2% CY27E) is roughly in line/above in CY27/CY28 versus its comparable peer group (+19.6% in CY26E, +14.3% YoY CY27E) and indicating acceleration, a testament to the value its identity security platform provides and to strong GTM execution. Within the overall group, we view CrowdStrike, Zscaler, SentinelOne, and Netskope as most directly comparable to SailPoint in terms of revenue growth (high-teens to low-20% range) and platform breadth. This narrower group has a CY2027E EV/sales average of 14.4x, with a range of 5.6x-37.7x. We believe SailPoint should trade near the average of these peers, and at a small premium to Okta (approximately 10.5x CY2027E EV/sales on high-single-digit growth), its closest identity comparable, given SailPoint's significantly faster ARR growth (approximately 23.8% CAGR through FY29), higher 113% net revenue retention, improving operating leverage,

and emerging AI agent identity optionality. We also note that Palo Alto Networks' February 2026 acquisition of CyberArk, formerly SailPoint's most direct identity security comparable, for approximately $25 billion (~16x LTM revenue) underscores the strategic value the market assigns to identity security platforms. By applying a multiple of 11x to our CY2027 revenue projection of ~$1.55 billion, we derive a price target of $30.

Exhibit 20: SailPoint Comparable Company Valuation

Company	Rating	Ticker	Price As of 10/5/2026	Market Cap ($M)	Enterprise Value ($M)	EPS			FCF ($M)			Revenue ($M)			Revenue Growth		
						CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E
Palo Alto Networks	O	PANW	$406.76	$331,509	$310,256	$3.72	$3.74	$4.47	$3,584	$4,832	$5,686	$9,893	$12,962	$14,637	15.4%	31.0%	12.9%
CrowdStrike	O	CRWD	$272.67	$279,172	$280,557	$0.93	$1.25	$1.50	$1,241	$1,832	$2,384	$4,812	$6,002	$7,445	21.7%	24.7%	24.0%
Fortinet	P	FTNT	$184.13	$135,078	$132,665	$2.76	$3.47	$3.59	$2,226	$3,075	$3,215	$6,800	$8,136	$9,016	14.2%	19.7%	10.8%
Zscaler	O	ZS	$201.80	$32,904	$30,714	$3.69	$4.61	$5.18	$874	$671	$1,030	$3,001	$3,642	$4,159	23.9%	21.3%	14.2%
Check Point	O	CHKP	$129.58	$13,683	$13,107	$11.91	$10.61	$11.67	$1,048	$1,168	$1,172	$2,725	$2,830	$2,997	6.3%	3.8%	5.9%
Okta	O	OKTA	$218.29	$38,161	$36,786	$3.50	$3.92	$4.25	$863	$919	$1,018	$2,919	$3,222	$3,509	11.8%	10.4%	8.9%
SentinelOne	O	S	$25.43	$8,800	$8,020	$0.20	$0.32	$0.42	$52	$56	$198	$1,001	$1,205	$1,427	22.0%	20.3%	18.5%
Netskope	O	NTSK	$18.42	$7,515	$7,126	($0.48)	($0.15)	$0.04	$12	$18	$65	$709	$889	$1,061	31.8%	25.4%	19.3%
Mean						**$3.28**	**$3.47**	**$3.89**	**$1,237**	**$1,571**	**$1,846**	**$3,983**	**$4,861**	**$5,531**	**18.4%**	**19.6%**	**14.3%**
Median						**$3.13**	**$3.60**	**$3.92**	**$961**	**$1,043**	**$1,101**	**$2,960**	**$3,432**	**$3,834**	**18.6%**	**20.8%**	**13.6%**
SailPoint	**O**	**SAIL**	**$20.29**	**$11,584**	**$11,220**	**$0.24**	**$0.32**	**$0.41**	**$52**	**$200**	**$273**	**$1,071**	**$1,275**	**$1,545**	**24.4%**	**19.0%**	**21.2%**

Company	Rating	Ticker	Price As of 10/5/2026	Market Cap ($M)	Enterprise Value ($M)	P/E			EV/FCF			EV/Sales			EV/S/G		
						CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E	CY25	CY26E	CY27E
Palo Alto Networks	O	PANW	$406.76	$331,509	$310,256	109.5x	108.8x	91.0x	86.6x	64.2x	54.6x	31.4x	23.9x	21.2x	2.0x	0.8x	1.6x
CrowdStrike	O	CRWD	$272.67	$279,172	$280,557	292.4x	217.7x	182.4x	226.0x	153.1x	117.7x	58.3x	46.7x	37.7x	2.7x	1.9x	1.6x
Fortinet	P	FTNT	$184.13	$135,078	$132,665	66.8x	53.1x	51.2x	59.6x	43.1x	41.3x	19.5x	16.3x	14.7x	1.4x	0.8x	1.4x
Zscaler	O	ZS	$201.80	$32,904	$30,714	54.6x	43.8x	39.0x	35.1x	45.8x	29.8x	10.2x	8.4x	7.4x	0.4x	0.4x	0.5x
Check Point	O	CHKP	$129.58	$13,683	$13,107	10.9x	12.2x	11.1x	12.5x	11.2x	11.2x	4.8x	4.6x	4.4x	0.8x	1.2x	0.7x
Okta	O	OKTA	$218.29	$38,161	$36,786	62.3x	55.7x	51.3x	42.6x	40.0x	36.1x	12.6x	11.4x	10.5x	1.1x	1.1x	1.2x
SentinelOne	O	S	$25.43	$8,800	$8,020	126.7x	79.2x	60.5x	154.6x	142.2x	40.5x	8.0x	6.7x	5.6x	0.4x	0.3x	0.3x
Netskope	O	NTSK	$18.42	$7,515	$7,126	(38.1x)	(125.1x)	486.1x	575.9x	401.1x	109.2x	10.1x	8.0x	6.7x	0.3x	0.3x	0.3x
Mean						**85.7x**	**55.7x**	**121.6x**	**149.1x**	**112.6x**	**55.0x**	**19.4x**	**15.8x**	**13.5x**	**1.1x**	**0.9x**	**1.0x**
Median						**64.6x**	**54.4x**	**55.9x**	**73.1x**	**55.0x**	**40.9x**	**11.4x**	**9.9x**	**8.9x**	**0.9x**	**0.8x**	**1.0x**
SailPoint	**O**	**SAIL**	**$20.29**	**$11,584**	**$11,220**	**85.6x**	**62.9x**	**48.9x**	**216.8x**	**56.2x**	**41.1x**	**10.5x**	**8.8x**	**7.3x**	**0.4x**	**0.5x**	**0.3x**

Source: FactSet (prices as of October 5th, 2026), Oppenheimer & Co. estimates.

While our Outperform rating and positive bias are based on our assessment of SailPoint's current condition and future growth prospects, a number of risks could impact the shares. This includes the risk of multiple compression if execution is not smooth and growth slows. If this were to happen, it could take considerable time to rebuild investor confidence. In addition, Thoma Bravo's approximately 85% ownership represents a persistent psychological overhang for investors; secondary offerings or block trades, which become more probable as the stock approaches its IPO price ($23/share), could introduce supply pressure independent of fundamentals.

As noted earlier, SailPoint operates in a highly competitive market, vying for share in enterprise IGA against large platform vendors (led by Microsoft, which is leveraging its Entra installed base and bundling economics) as well as identity specialists such as Okta and Saviynt. Additionally, the nascent AI agent identity market is highly fragmented and crowded, and where leadership and mindshare have yet to be established. Competitors in agent identity security range from incumbent identity vendors to well-funded startups and hyperscalers, some of which may have stronger developer mindshare or the ability to undercut SailPoint on pricing.

Management and Board of Directors

Management

Mark McClain, Co-Founder, CEO and Director. Mr. McClain co-founded SailPoint in 2005 and has served as CEO since inception. He previously founded Waveset Technologies, an identity management company, which was subsequently acquired by Sun Microsystems in

2003. He then served as VP of Software Marketing for Sun. His career also includes experience in international sales and marketing with HP and IBM. He holds a B.A. in Economics from Point Loma Nazarene University and an M.B.A. from UCLA.

Brian Carolan, CFO. Mr. Carolan has served as SailPoint's CFO since December 2022 (following the Thoma Bravo take-private). Prior to SailPoint, Mr. Carolan worked at Commvault Systems Inc. for over twenty years, serving as CFO, VP Finance, and CAO. Prior to Commvault, Mr. Carolan worked in the Technology, Communications, and Entertainment audit practice at Ernst & Young. He holds a B.A. in Accounting from Villanova and an MBA from NYU.

Matt Mills, President. Mr. Mills joined SailPoint as CRO in August 2019 before transitioning to President of Worldwide Field Operations in 2022. Before joining SailPoint, Mr. Mills was CEO of MapR Technologies. Prior to that, Mr. Mills spent 20 years at Oracle Corporation, most recently as Senior Vice President, North America Sales. Mr. Mills also serves on the boards of various early-stage SaaS companies and as managing partner at Tappan Hill Venture Partners. Mr. Mills holds a B.S. in Business from Ferris State University.

Chris Schmitt, EVP, General Counsel. Mr. Schmitt has served as SailPoint's General Counsel and Secretary since August 2022 and held various other legal roles at the company since March 2017. Prior to joining SailPoint, Mr. Schmitt was a Partner at Vinson & Elkins from 2010 to 2017. Before that, he was an attorney at Baker Botts LLP. Mr. Schmitt holds a B.S. in Political Science and Economics and a J.D., both from the University of Michigan.

Chandra Gnanasambandam, CTO. Mr. Gnanasambandam was appointed EVP of Product and CTO in February 2025. He joined SailPoint after a two-decade career at McKinsey & Company, where he co-led the firm's global high-tech practice. During his time at McKinsey, Mr. Gnanasambandam co-founded and led Fuel, the firm's investor and start-up arm, and was a founding partner of McKinsey's Bangalore office in India. He began his career as a Java architect at Sun Microsystems.

Levent Besik, CPO. Mr. Besik was appointed Chief Product Officer in April 2026 and leads SailPoint's product organization, reporting to EVP of Product and CTO Chandra Gnanasambandam. Prior to SailPoint, Mr. Besik served as Vice President of Product Management for Microsoft's Identity division, where he led product management for the Human and Agentic Identity platform. Before Microsoft, he held product leadership roles at Okta and Google.

Board of Directors

William Bock, Chair of the Board. Mr. Bock became Chair of SailPoint's board in 2025, having served as a director since 2022. He also chairs the Audit Committee. Mr. Bock previously served as a member of SailPoint Technologies Holdings (STHI)'s board, including as Chair from 2018 until the 2022 Thoma Bravo take-private. Mr. Bock also served on the boards of Silicon Laboratories Inc., N-able, and SolarWinds Corporation. Mr. Bock previously served as CFO of Silicon Labs. Prior to Silicon Labs, he was a partner at CenterPoint Ventures and held senior executive roles at various venture-backed companies. Mr. Bock began his career at Texas Instruments. Mr. Bock holds a B.S. in Computer Science from Iowa State University and an M.S. in Industrial Administration from Carnegie Mellon University.

Seth Boro, Director. Mr. Boro has served on SailPoint's board since August 2022 and previously served on the board of STHI from September 2014 until November 2018. Mr. Boro is a Managing Partner at Thoma Bravo. Before Thoma Bravo, he was an associate at Summit Partners and an analyst at Credit Suisse. Mr. Boro previously served on the boards of Dynatrace and SolarWinds, among other Thoma Bravo portfolio companies. He holds a Bachelor of Commerce from Queen's University School of Business and an M.B.A. from the Stanford Graduate School of Business.

Andrew Almeida, Director. Mr. Almeida has served on SailPoint's board since August 2022. He is a Partner at Thoma Bravo. Prior to Thoma Bravo, Mr. Almeida worked in investment banking at Bank of America Merrill Lynch. Mr. Almeida holds a B.B.A. in Finance, Investment, and Banking and a B.A. in Economics from the University of Wisconsin and an M.S. from Vanderbilt University.

SailPoint, Inc.

Quarterly Consolidated Statement of Income **($ in Millions, except per share data)**

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Total Revenue	**$861.6**	**$230.5**	**$264.4**	**$281.9**	**$294.6**	**$1,071.4**	**$280.1**	**$308.8**	**$328.7**	**$356.8**	**$1,274.5**	**$340.1**	**$373.6**	**$399.4**	**$432.0**	**$1,545.1**	**$1,881.1**
Total Cost of Revenue	188.5	54.5	57.6	62.3	63.3	237.7	65.4	69.7	72.2	77.0	284.4	75.9	80.8	84.9	90.3	331.9	399.5
Gross Profit	**$673.1**	**$175.9**	**$206.7**	**$219.6**	**$231.4**	**$833.7**	**$214.7**	**$239.1**	**$256.5**	**$279.8**	**$990.2**	**$264.2**	**$292.8**	**$314.5**	**$341.7**	**$1,213.2**	**$1,481.7**
Gross Margin	78.1%	76.3%	78.2%	77.9%	78.5%	77.8%	76.6%	77.4%	78.0%	78.4%	77.7%	77.7%	78.4%	78.7%	79.1%	78.5%	78.8%
Research and Development	145.5	38.7	40.5	42.4	46.3	167.9	45.6	45.0	51.0	53.5	195.1	52.7	57.9	60.9	64.8	236.3	282.0
Sales and Marketing	329.6	91.4	93.1	102.8	104.2	391.5	111.3	111.3	125.1	120.1	467.8	133.8	133.4	150.4	143.6	561.1	658.9
General And Administrative	65.2	22.3	19.1	18.6	20.0	80.0	20.0	20.0	22.4	22.5	84.8	23.8	23.6	26.6	26.6	100.5	120.1
Total Operating Expenses	540.4	152.3	152.7	163.8	170.5	639.4	176.9	176.3	198.4	196.1	747.6	210.3	214.9	237.8	235.0	898.0	1,060.9
Operating Income (Loss)	**$132.7**	**$23.6**	**$54.0**	**$55.8**	**$60.8**	**$194.3**	**$37.8**	**$62.8**	**$58.1**	**$83.8**	**$242.5**	**$54.0**	**$77.9**	**$76.6**	**$106.7**	**$315.2**	**$420.7**
Operating Margin	15.4%	10.2%	20.4%	19.8%	20.6%	18.1%	13.5%	20.3%	17.7%	23.5%	19.0%	15.9%	20.9%	19.2%	24.7%	20.4%	22.4%
Interest Income	4.2	3.2	2.3	2.5	2.7	10.8	3.0	3.4	2.5	2.9	11.8	2.6	2.9	3.2	3.6	12.4	20.4
Interest Expense	(186.7)	(22.4)	(1.7)	(0.3)	(0.3)	(24.6)	(0.3)	(0.3)	0.0	0.0	(0.5)	0.0	0.0	0.0	0.0	0.0	0.0
Other income (expense), net	(5.4)	(0.2)	(1.7)	(1.4)	(1.3)	(4.7)	(3.0)	(1.3)	(2.0)	(2.0)	(8.3)	0.0	0.0	0.0	0.0	0.0	0.0
Total Other Income (expense), net	**($187.9)**	**($19.4)**	**($1.1)**	**$0.8**	**$1.1**	**($18.5)**	**($0.2)**	**$1.8**	**$0.5**	**$0.9**	**$3.0**	**$2.6**	**$2.9**	**$3.2**	**$3.6**	**$12.4**	**$20.4**
Pre-Tax Income (Loss)	**($55.2)**	**$4.3**	**$52.9**	**$56.6**	**$61.9**	**$175.7**	**$37.6**	**$64.6**	**$58.6**	**$84.6**	**$245.5**	**$56.6**	**$80.9**	**$79.8**	**$110.3**	**$327.6**	**$441.1**
Provision for Income Taxes	$60.8	$1.0	$13.0	$13.9	$15.2	$43.1	$9.2	$15.8	$14.4	$20.7	$60.1	$13.9	$19.8	$19.6	$27.0	$80.3	$108.1
Effective Tax Rate	(110.2%)	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%
Pro Forma Net Income (Loss)	**($116.0)**	**$3.2**	**$40.0**	**$42.7**	**$46.8**	**$132.7**	**$28.4**	**$48.8**	**$44.2**	**$63.9**	**$185.3**	**$42.7**	**$61.1**	**$60.3**	**$83.3**	**$247.4**	**$333.0**
Pro Forma EPS	**($1.38)**	**$0.01**	**$0.07**	**$0.08**	**$0.08**	**$0.24**	**$0.05**	**$0.09**	**$0.08**	**$0.11**	**$0.32**	**$0.07**	**$0.10**	**$0.10**	**$0.14**	**$0.41**	**$0.55**
Total GAAP Adjustments	(321.5)	(208.6)	(94.8)	(97.4)	(100.9)	(501.7)	(117.7)	(121.7)	(108.8)	(112.5)	(460.7)	(132.7)	(125.6)	(122.3)	(125.8)	(506.4)	(558.0)
Net Income (Loss) - GAAP	**($315.8)**	**($187.3)**	**($10.6)**	**($36.0)**	**($36.2)**	**($270.1)**	**($74.7)**	**($50.4)**	**($45.2)**	**($22.8)**	**($193.1)**	**($71.1)**	**($39.8)**	**($37.4)**	**($10.5)**	**($158.8)**	**($96.9)**
EPS - GAAP	**($12.91)**	**($0.34)**	**($0.02)**	**($0.06)**	**($0.06)**	**($0.48)**	**($0.13)**	**($0.09)**	**($0.08)**	**($0.04)**	**($0.34)**	**($0.12)**	**($0.07)**	**($0.06)**	**($0.02)**	**($0.27)**	**($0.16)**
Basic WA Shares Outstanding	84	500	556	558	562	544	565	568	576	588	574	591	594	597	600	595	607
Diluted WA Shares Outstanding	84	556	558	562	564	560	565	569	577	589	575	592	595	598	601	597	609

Source: Company data, Oppenheimer & Co. Inc.

SailPoint, Inc.
Revenue/ARR Analysis **($ in Millions)**

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Total Revenue	**$862**	**$230**	**$264**	**$282**	**$295**	**$1,071**	**$280**	**$309**	**$329**	**$357**	**$1,275**	**$340**	**$374**	**$399**	**$432**	**$1,545**	**$1,881**
QoQ Growth		(4.0%)	14.7%	6.7%	4.5%		(4.9%)	10.2%	6.4%	8.6%		(4.7%)	9.8%	6.9%	8.2%		
YoY Growth	23.1%	22.8%	33.1%	19.8%	22.7%	24.4%	21.6%	16.8%	16.6%	21.1%	19.0%	21.4%	21.0%	21.5%	21.1%	21.2%	21.7%
ARR	**$877**	**$925**	**$982**	**$1,040**	**$1,125**	**$1,125**	**$1,163**	**$1,231**	**$1,289**	**$1,390**	**$1,390**	**$1,444**	**$1,528**	**$1,606**	**$1,726**	**$1,726**	**$2,136**
QoQ Growth		5.5%	6.2%	5.9%	8.2%		3.4%	5.8%	4.7%	7.8%		3.9%	5.8%	5.1%	7.5%		
YoY Growth	28.6%	30.3%	28.0%	27.9%	28.3%	28.3%	25.7%	25.4%	23.9%	23.5%	23.5%	24.1%	24.1%	24.6%	24.2%	24.2%	23.8%
Net New ARR	**$195**	**$48**	**$57**	**$58**	**$85**	**$248**	**$38**	**$68**	**$58**	**$101**	**$265**	**$54**	**$84**	**$79**	**$120**	**$336**	**$410**
QoQ Growth		(25.0%)	18.8%	1.8%	46.6%		(55.3%)	78.9%	(14.7%)	73.8%		(46.4%)	55.4%	(6.4%)	52.9%		
YoY Growth	20.4%	71.4%	0.0%	26.1%	32.8%	27.2%	(20.8%)	19.3%	0.0%	18.6%	6.8%	42.1%	23.4%	35.3%	19.0%	27.0%	21.9%
Seasonality		19.4%	23.0%	23.4%	34.3%		14.4%	25.7%	21.9%	38.1%		16.1%	24.9%	23.3%	35.7%		
Dollar-Based Net Retention Rate - Reported (TTM)		**115.0%**	**114.0%**	**114.0%**	**113.0%**		**113.0%**	**113.0%**									
SaaS ARR	**$540**	**$574**	**$623**	**$669**	**$746**	**$746**	**$781**	**$847**	**$902**	**$998**	**$998**	**$1,049**	**$1,130**	**$1,205**	**$1,322**	**$1,322**	**$1,724**
QoQ Growth		6.3%	8.5%	7.4%	11.5%		4.7%	8.5%	6.5%	10.6%		5.1%	7.7%	6.7%	9.7%		
YoY Growth	39.2%	39.3%	36.9%	37.7%	38.1%	38.1%	36.1%	36.0%	34.8%	33.8%	33.8%	34.3%	33.4%	33.6%	32.5%	32.5%	30.4%
% of Total ARR	61.6%	62.1%	63.4%	64.3%	66.3%	66.3%	67.2%	68.8%	70.0%	71.8%	71.8%	72.6%	73.9%	75.0%	76.6%	76.6%	80.7%
SaaS Rev/ SaaS ARR - annualized	82.3%	91.9%	92.9%	93.3%	90.9%	80.7%	91.4%	91.6%	92.5%	92.7%	81.4%	91.4%	91.6%	92.5%	92.7%	82.0%	82.5%
SaaS Net New ARR	**$152**	**$34**	**$49**	**$46**	**$77**	**$206**	**$35**	**$66**	**$55**	**$96**	**$252**	**$51**	**$81**	**$76**	**$117**	**$324**	**$402**
QoQ Growth		(37.0%)	44.1%	(6.1%)	67.4%		(54.5%)	88.6%	(16.7%)	74.2%		(46.8%)	58.6%	(6.7%)	55.0%		
YoY Growth	25.6%	41.7%	14.0%	48.4%	42.6%	35.5%	2.9%	34.7%	19.6%	24.4%	22.2%	45.7%	22.6%	37.3%	22.1%	28.8%	23.9%
Seasonality		16.5%	23.8%	22.3%	37.4%		13.9%	26.2%	21.8%	38.0%		15.7%	24.9%	23.3%	36.1%		
% of Total Net New ARR	77.9%	70.8%	86.0%	79.3%	90.6%	83.1%	92.1%	97.1%	94.8%	95.0%	95.1%	94.4%	96.4%	96.2%	97.5%	96.4%	98.0%
Non-SaaS ARR	**$337**	**$351**	**$359**	**$371**	**$379**	**$379**	**$382**	**$384**	**$387**	**$392**	**$392**	**$395**	**$398**	**$401**	**$404**	**$404**	**$412**
QoQ Growth		4.2%	2.3%	3.3%	2.2%		0.8%	0.5%	0.8%	1.3%		0.8%	0.8%	0.8%	0.7%		
YoY Growth	(13.1%)	17.8%	15.1%	13.5%	12.5%	12.5%	8.8%	7.0%	4.3%	3.4%	3.4%	3.4%	3.6%	3.6%	3.1%	3.1%	2.0%
% of Total ARR	38.4%	37.9%	36.6%	35.7%	33.7%	33.7%	32.8%	31.2%	30.0%	28.2%	28.2%	27.4%	26.1%	25.0%	23.4%	23.4%	19.3%
Non-SaaS Net New ARR	**$43**	**$14**	**$8**	**$12**	**$8**	**$42**	**$3**	**$2**	**$3**	**$5**	**$13**	**$3**	**$3**	**$3**	**$3**	**$12**	**$8**
QoQ Growth		40.0%	(42.9%)	50.0%	(33.3%)		(62.5%)	(33.3%)	50.0%	66.7%		(40.0%)	0.0%	0.0%	0.0%		
YoY Growth	NA	250.0%	(42.9%)	(20.0%)	(20.0%)	(2.3%)	(78.6%)	(75.0%)	(75.0%)	(37.5%)	(69.0%)	0.0%	50.0%	0.0%	(40.0%)	(7.7%)	(33.3%)
Seasonality		33.3%	19.0%	28.6%	19.0%		23.1%	15.4%	23.1%	38.5%		25.0%	25.0%	25.0%	25.0%		
% of Total Net New ARR	22.1%	29.2%	14.0%	20.7%	9.4%	16.9%	7.9%	2.9%	5.2%	5.0%	4.9%	5.6%	3.6%	3.8%	2.5%	3.6%	2.0%

Source: Company data, Oppenheimer & Co. Inc.

SailPoint, Inc.
Book of Business KPI Analysis **($ in Millions)**

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Beginning Deferred Revenue		$449	$438	$450	$461	$449	$555	$535	$545	$558	$555	$662	$636	$650	$665	$662	$784
Ending Deferred Revenue	449	438	450	461	555	555	535	545	558	662	662	636	650	665	784	784	959
Increase/(Decrease) in Deferred Revenue	**$449**	**($11)**	**$11**	**$11**	**$94**	**$106**	**($20)**	**$10**	**$13**	**$104**	**$107**	**($26)**	**$14**	**$14**	**$120**	**$122**	**$175**
Total Billings	**$1,311**	**$219**	**$276**	**$293**	**$389**	**$1,177**	**$260**	**$318**	**$342**	**$461**	**$1,382**	**$314**	**$388**	**$414**	**$552**	**$1,667**	**$2,056**
QoQ Growth		(31.5%)	25.7%	6.4%	32.7%		(33.1%)	22.4%	7.4%	34.8%		(31.9%)	23.6%	6.7%	33.4%		
YoY Growth					21.5%	(10.2%)	18.6%	15.5%	16.7%	18.5%	17.4%	20.6%	21.8%	21.0%	19.8%	20.7%	23.3%
Seasonality		18.6%	23.4%	24.9%	33.0%		18.8%	23.0%	24.8%	33.4%		18.8%	23.3%	24.8%	33.1%		
Total RPO	**$1,390**	**$1,410**	**$1,486**	**$1,582**	**$1,800**	**$1,800**	**$1,800**	**$1,900**									
QoQ Growth		1.4%	5.4%	6.5%	13.8%		0.0%	5.6%									
YoY Growth				34.1%	29.5%	29.5%	27.7%	27.9%									
Current RPO	**$683**	**$694**	**$732**	**$784**	**$858**	**$858**	**$887**	**$931**									
% of Total RPO	49.1%	49.2%	49.3%	49.5%	47.7%	47.7%	49.3%	49.0%									
coverage of NTM subscription revenue		65.4%	66.1%	67.7%	70.3%		69.1%	68.9%									
QoQ Growth		1.6%	5.5%	7.1%	9.4%		3.4%	5.0%									
YoY Growth				30.9%	25.6%	25.6%	27.8%	27.2%									

Source: Company data, Oppenheimer & Co. Inc.

SailPoint, Inc.
Quarterly Margin and Growth Analysis

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Margin Analysis																	
Subscription Gross Margin	84.1%	82.4%	83.0%	82.5%	82.6%	82.6%	81.7%	82.3%	82.0%	82.0%	82.0%	80.8%	81.2%	81.1%	81.2%	81.1%	80.4%
Prof. Services Gross Margin	7.6%	(10.2%)	3.5%	(0.1%)	(3.9%)	(2.5%)	(17.2%)	(28.0%)	(17.5%)	(17.5%)	(20.1%)	(15.0%)	(15.0%)	(8.0%)	(7.0%)	(11.3%)	(6.5%)
Gross Margin	**78.1%**	**76.3%**	**78.2%**	**77.9%**	**78.5%**	**77.8%**	**76.6%**	**77.4%**	**78.0%**	**78.4%**	**77.7%**	**77.7%**	**78.4%**	**78.7%**	**79.1%**	**78.5%**	**78.8%**
Research & Development	16.9%	16.8%	15.3%	15.0%	15.7%	15.7%	16.3%	14.6%	15.5%	15.0%	15.3%	15.5%	15.5%	15.3%	15.0%	15.3%	15.0%
Sales & Marketing	38.3%	39.6%	35.2%	36.5%	35.4%	36.5%	39.7%	36.0%	38.1%	33.6%	36.7%	39.3%	35.7%	37.7%	33.2%	36.3%	35.0%
General & Adminstrative	7.6%	9.7%	7.2%	6.6%	6.8%	7.5%	7.1%	6.5%	6.8%	6.3%	6.7%	7.0%	6.3%	6.7%	6.2%	6.5%	6.4%
Operating Margin	**15.4%**	**10.2%**	**20.4%**	**19.8%**	**20.6%**	**18.1%**	**13.5%**	**20.3%**	**17.7%**	**23.5%**	**19.0%**	**15.9%**	**20.9%**	**19.2%**	**24.7%**	**20.4%**	**22.4%**
Pre-Tax Income	(6.4%)	1.9%	20.0%	20.1%	21.0%	16.4%	13.4%	20.9%	17.8%	23.7%	19.3%	16.6%	21.6%	20.0%	25.5%	21.2%	23.4%
Tax Rate	(110.2%)	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%	24.5%
Net Income		**1.4%**	**15.1%**	**15.2%**	**15.9%**		**10.1%**	**15.8%**	**13.5%**	**17.9%**		**12.6%**	**16.3%**	**15.1%**	**19.3%**		
FCF Margin	(13.9%)	(43.7%)	17.4%	17.4%	19.5%	4.8%	11.6%	12.1%	15.1%	22.4%	15.7%	14.8%	12.7%	17.0%	24.9%	17.7%	21.7%
QoQ Growth																	
Subscription Revenue		(4.0%)	15.1%	7.3%	5.5%		(5.3%)	11.1%	6.9%	9.0%		(4.3%)	10.2%	7.2%	8.5%		
Professional Services Revenue		(3.6%)	5.6%	(1.6%)	(11.9%)		3.3%	(5.0%)	(3.8%)	(1.9%)		(13.9%)	(0.8%)	(3.5%)	(2.4%)		
Total Revenue		**(4.0%)**	**14.7%**	**6.7%**	**4.5%**		**(4.9%)**	**10.2%**	**6.4%**	**8.6%**		**(4.7%)**	**9.8%**	**6.9%**	**8.2%**		
Billings		**(31.5%)**	**25.7%**	**6.4%**	**32.7%**		**(33.1%)**	**22.4%**	**7.4%**	**34.8%**		**(31.9%)**	**23.6%**	**6.7%**	**33.4%**		
Gross Profit		(7.1%)	17.5%	6.2%	5.4%		(7.2%)	11.4%	7.3%	9.1%		(5.6%)	10.8%	7.4%	8.7%		
Operating Income		(48.2%)	128.6%	3.3%	9.0%		(37.8%)	65.9%	(7.4%)	44.1%		(35.6%)	44.4%	(1.7%)	39.2%		
Net Income - Pro Forma		**NM**	**NM**	**6.9%**	**9.4%**		**(39.3%)**	**71.7%**	**(9.3%)**	**44.4%**		**(33.1%)**	**42.9%**	**(1.3%)**	**38.2%**		
EPS - Pro Forma		**NM**	**NM**	**6.2%**	**9.0%**		**(39.3%)**	**70.3%**	**(10.5%)**	**41.4%**		**(33.5%)**	**42.2%**	**(1.8%)**	**37.5%**		
YoY Growth																	
Subscription Revenue		26.6%	36.4%	22.3%	25.1%	27.2%	23.5%	19.1%	18.6%	22.5%	20.8%	23.8%	22.8%	23.2%	22.6%	23.1%	22.9%
Professional Services Revenue		(13.5%)	(4.5%)	(9.3%)	(11.7%)	(9.7%)	(5.4%)	(14.9%)	(16.8%)	(7.4%)	(11.3%)	(22.8%)	(19.4%)	(19.2%)	(19.6%)	(20.3%)	(19.3%)
Total Revenue		**22.8%**	**33.1%**	**19.8%**	**22.7%**	**24.4%**	**21.6%**	**16.8%**	**16.6%**	**21.1%**	**19.0%**	**21.4%**	**21.0%**	**21.5%**	**21.1%**	**21.2%**	**21.7%**
Billings					**21.5%**	**(10.2%)**	**18.6%**	**15.5%**	**16.7%**	**18.5%**	**17.4%**	**20.6%**	**21.8%**	**21.0%**	**19.8%**	**20.7%**	**23.3%**
Gross Profit		21.6%	35.6%	17.7%	22.1%	23.9%	22.0%	15.6%	16.8%	20.9%	18.8%	23.1%	22.5%	22.6%	22.1%	22.5%	22.1%
Operating Income		23.1%	154.8%	19.4%	33.3%	46.3%	60.2%	16.3%	4.2%	37.7%	24.8%	42.6%	24.1%	31.8%	27.4%	30.0%	33.5%
Net Income - Pro Forma		**NM**	**NM**	**NM**	**NM**	**NM**	**NM**	**22.1%**	**3.5%**	**36.7%**	**39.7%**	**50.4%**	**25.2%**	**36.2%**	**30.3%**	**33.5%**	**34.6%**
EPS - Pro Forma		**NM**	**NM**	**NM**	**NM**	**NM**	**NM**	**19.6%**	**0.8%**	**30.8%**	**36.0%**	**43.4%**	**19.7%**	**31.4%**	**27.8%**	**28.6%**	**32.0%**

Source: Company data, Oppenheimer & Co. Inc.

SailPoint, Inc.
Quarterly Consolidated Balance Sheet ($ in Millions)

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Assets																	
Cash and Cash Equivalents	$121	$228	$271	$298	$358	$358	$391	$310	$360	$440	$440	$490	$537	$605	$713	$713	$1,120
Accounts Receivables	254	190	203	216	335	335	256	276	266	373	373	295	317	306	399	399	438
Deferred Commissions/ Contract Acquisition Costs	33	35	38	42	48	48	52	63	53	79	79	68	67	72	104	104	122
Prepaid Expenses & Other Current Assets	104	103	114	114	110	110	125	128	168	180	180	184	217	224	242	242	315
Total Current Assets	**$512**	**$557**	**$627**	**$670**	**$851**	**$851**	**$823**	**$777**	**$846**	**$1,071**	**$1,071**	**$1,037**	**$1,138**	**$1,207**	**$1,457**	**$1,457**	**$1,995**
Property & Equipment & Intangibles	$1,584	$1,536	$1,488	$1,459	$1,412	$1,412	$1,367	$1,344	$1,296	$1,250	$1,250	$1,206	$1,162	$1,118	$1,074	$1,074	$914
Deferred Commissions/ Contract Acquisition Costs	94	94	98	104	118	118	120	140	131	143	143	144	161	176	199	199	262
Goodwill	5,152	5,152	5,152	5,152	5,152	5,152	5,152	5,250	5,250	5,250	5,250	5,250	5,250	5,250	5,250	5,250	5,250
Other Long-term Assets	70	77	82	91	65	65	65	73	73	73	73	73	73	73	73	73	73
Total Assets	**$7,412**	**$7,414**	**$7,446**	**$7,475**	**$7,598**	**$7,598**	**$7,526**	**$7,584**	**$7,597**	**$7,787**	**$7,787**	**$7,711**	**$7,785**	**$7,825**	**$8,054**	**$8,054**	**$8,495**
Liabilities and Stockholders Equity																	
Accounts Payable	$4	$4	$4	$4	$6	$6	$14	$13	$4	$6	$6	$15	$15	$5	$7	$7	$9
Accrued Expenses and Other	158	67	84	97	121	121	75	104	68	107	107	54	75	72	107	107	109
Deferred Revenue	413	405	417	424	516	516	502	515	527	625	625	599	610	621	734	734	871
Other short-term liabilities	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Current Liabilities	**$575**	**$475**	**$504**	**$525**	**$643**	**$643**	**$590**	**$633**	**$599**	**$739**	**$739**	**$668**	**$699**	**$698**	**$849**	**$849**	**$990**
Long-term Debt, net	$1,024	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Deferred Revenue	36	34	32	37	39	39	34	30	32	37	37	37	40	43	50	50	88
Other long-term liabilities	169	128	93	83	69	69	60	60	92	100	100	86	93	99	109	109	126
Total Liabilities	**$1,804**	**$637**	**$630**	**$645**	**$751**	**$751**	**$684**	**$722**	**$723**	**$876**	**$876**	**$791**	**$832**	**$840**	**$1,008**	**$1,008**	**$1,204**
Total Stockholders Equity	5,608	6,778	6,816	6,830	6,846	6,846	6,842	6,862	6,874	6,911	6,911	6,920	6,953	6,984	7,046	7,046	7,292
Total Liabilities and Stockholder Equity	**$7,412**	**$7,414**	**$7,446**	**$7,475**	**$7,598**	**$7,598**	**$7,526**	**$7,584**	**$7,597**	**$7,787**	**$7,787**	**$7,711**	**$7,785**	**$7,825**	**$8,054**	**$8,054**	**$8,495**

Source: Company data, Oppenheimer & Co. Inc.

SailPoint, Inc.
Quarterly Consolidated Statement of Cash Flows ($ in Millions, except per share data)

	2025A	1Q26A Apr-25	2Q26A Jul-25	3Q26A Oct-25	4Q26A Jan-26	2026A	1Q27A Apr-26	2Q27A Jul-26	3Q27E Oct-26	4Q27E Jan-27	2027E	1Q28E Apr-27	2Q28E Jul-27	3Q28E Oct-27	4Q28E Jan-28	2028E	2029E
Cash Flow from Operations																	
Net Gain (Loss)	**($316)**	**($187)**	**($11)**	**($36)**	**($36)**	**($270)**	**($75)**	**($50)**	**($45)**	**($23)**	**($193)**	**($71)**	**($40)**	**($37)**	**($11)**	**($159)**	**($97)**
Depreciation and Amortization	237	52	52	53	53	211	53	54	55	55	217	55	55	55	55	220	220
Share based Comp	32	106	48	49	52	255	69	68	57	60	255	80	73	69	72	294	343
Amortization of Deferred Commissions	25	8	9	10	11	39	13	16	0	0	29	0	0	0	0	0	0
Excess Tax Benefits	(71)	(25)	(34)	(9)	(5)	(73)	(10)	(13)	0	0	(22)	0	0	0	0	0	0
Other	15	19	4	1	1	24	1	2	0	0	3	0	0	0	0	0	0
Total Non-Cash Items	238	160	80	104	112	457	126	127	112	115	481	135	128	124	127	514	563
(Inc.) / Dec. in Accounts Receivable	(42)	60	(14)	(12)	(120)	(86)	78	(21)	10	(107)	(39)	77	(22)	10	(92)	(26)	(40)
(Inc.) / Dec. in Deferred Commissions/Contact Acquisition Costs	(72)	(9)	(17)	(19)	(32)	(78)	(19)	(48)	19	(37)	(84)	9	(16)	(19)	(55)	(81)	(82)
(Inc.) / Dec. in Prepaid Expenses	(25)	(19)	(16)	(11)	5	(41)	(13)	(7)	(40)	(12)	(71)	(4)	(33)	(7)	(18)	(62)	(73)
(Inc.) / Dec. in Operating Lease Right-of-use Assets	0	0	0	(0)	0	0	(0)	(0)	0	0	(0)	0	0	0	0	0	0
Inc. / (Dec.) in Accounts Payable	(5)	0	(0)	1	2	2	8	(0)	(9)	2	1	8	(0)	(10)	2	1	2
Inc. / (Dec.) in Accrued Compensation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Inc. / (Dec.) in Accrued Expenses	37	(91)	16	17	25	(34)	(45)	36	(36)	39	(5)	(53)	20	(3)	35	0	2
Inc. / (Dec.) in Deferred Revenue	73	(11)	11	11	94	105	(20)	8	13	104	105	(26)	14	14	120	122	175
Other Working Capital Changes	6	0	0	0	14	15	(4)	(0)	32	8	36	(14)	7	6	10	9	17
Total Cashflow from Working Capital Changes	(28)	(69)	(20)	(14)	(12)	(116)	(13)	(31)	(10)	(3)	(58)	(2)	(30)	(7)	2	(38)	2
Net Cash From Operating Activities	**($106)**	**($97)**	**$50**	**$54**	**$64**	**$71**	**$38**	**$45**	**$57**	**$90**	**$230**	**$61**	**$58**	**$79**	**$119**	**$317**	**$467**
Cash Flow from Investing Activities																	
Purchases of Property and Equipment, net	($5)	($2)	($1)	($1)	($2)	($6)	($1)	($2)	($4)	($6)	($13)	($6)	($6)	($6)	($6)	($24)	($32)
Payments for Business Acquisitions	(15)	0	0	(16)	(0)	(17)	0	(118)	0	0	(118)	0	0	0	0	0	0
Capitalized internal-use software	(8)	(2)	(3)	(3)	(5)	(13)	(5)	(6)	(4)	(4)	(17)	(5)	(5)	(5)	(5)	(20)	(28)
Other Investing Activities	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net Cash Provided by Investing Act.	**($29)**	**($4)**	**($4)**	**($21)**	**($7)**	**($36)**	**($6)**	**($126)**	**($7)**	**($10)**	**($148)**	**($11)**	**($11)**	**($11)**	**($11)**	**($44)**	**($60)**
Cash Flow from Financing Activities																	
Proceeds from issuance of Converts/Stock	600	1,260	0	0	0	1,260	0	0	0	0	0	0	0	0	0	0	0
Debt Issuance/(Repayment)	(550)	(1,040)	(3)	0	0	(1,043)	0	0	0	0	0	0	0	0	0	0	0
Payments of Deferred offering Costs	(3)	(8)	(0)	0	0	(9)	0	0	0	0	0	0	0	0	0	0	0
Excess Tax Benefits/Other	(6)	(1)	0	(6)	0	(6)	0	0	0	0	0	0	0	0	0	0	0
Net Cash provided by Financing Act.	**$41**	**$211**	**($3)**	**($6)**	**$0**	**$202**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
FX Impact																	
Net Increase (Decrease) in cash	(94)	110	43	27	57	237	33	(81)	50	80	82	50	47	68	108	273	407
Cash at Beginning of Year	218	124	234	277	304	124	361	394	313	363	361	443	493	541	609	443	716
Ending Cash	**$124**	**$234**	**$277**	**$304**	**$361**	**$361**	**$394**	**$313**	**$363**	**$443**	**$443**	**$493**	**$541**	**$609**	**$716**	**$716**	**$1,124**
Incl. Restrited Cash	3	6	6	6	3	3	3	3	3	3	3	3	3	3	3	3	3
Free Cash Flow	**($120)**	**($101)**	**$46**	**$49**	**$57**	**$52**	**$33**	**$37**	**$50**	**$80**	**$200**	**$50**	**$47**	**$68**	**$108**	**$273**	**$407**
% margin	(13.9%)	(43.7%)	17.4%	17.4%	19.5%	4.8%	11.6%	12.1%	15.1%	22.4%	15.7%	14.8%	12.7%	17.0%	24.9%	17.7%	21.7%
Seasonality		(194.6%)	88.8%	94.8%	111.0%		16.3%	18.7%	24.9%	40.1%		18.5%	17.3%	24.9%	39.4%		
FCF / Share	**($1.43)**	**($0.18)**	**$0.08**	**$0.09**	**$0.10**	**$0.09**	**$0.06**	**$0.07**	**$0.09**	**$0.14**	**$0.35**	**$0.09**	**$0.08**	**$0.11**	**$0.18**	**$0.46**	**$0.67**

Source: Company data, Oppenheimer & Co. Inc.

ESG CONSIDERATIONS *

ESG Rating	C
ESG Rating Environment	D+
ESG Rating Social	B-
ESG Rating Governance	D+

*Environmental/Social/Governance (ESG) scores are courtesy of Refinitiv's ESG product which are designed to transparently and objectively measure a company's relative ESG performance, commitment and effectiveness, based on company-reported data. Refinitiv's ESG ratings are independent of Oppenheimer's stock ratings and are not taken into consideration when assigning a rating. For full details about Refinitiv's ESG scores, please click here

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